

ASIA ASSET FINANCE PLC
COLOMBO 03

FINANCIAL STATEMENTS FOR THE
YEAR ENDED 31ST MARCH, 2019



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INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF ASIA ASSET FINANCE PLC

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of Asia Asset Finance PLC (the "company"), which comprise the statement of financial position as at 31st March 2019, and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies as set out on pages 05 to 58.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of the company as at 31st March 2019, and of its financial performance and its cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for Opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the company in accordance with the Code of Ethics issued by CA Sri Lanka (Code of Ethics) and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Key audit matter

Impairment of loans and receivables

The company's gross loans and receivables amount to Rs. 12.56 billion as at 31st March, 2019 (2018: Rs. 10.10 billion) and impairment allowance for the year amounts to Rs. 357 million at 31st March, 2019 (2018: Rs. 333 million).

On 01st April, 2018 the company adopted SLFRS 9: Financial Instruments ("SLFRS 9") which measures impairment using an expected credit loss ("ECL") model. The application of the new standard requires management to exercise significant judgements in the determination of expected credit losses, including those relating to loans and receivables. Management applies significant judgement in the determination of estimated future cash flows, probabilities of default and forward looking economic expectations.

Due to the significance of loans and receivables and the significant estimates and judgement involved, the impairment of these loans and receivables was considered to be a key audit matter.

The impairment provision is considered separately on an individual and collective impairment basis.

In calculating the impairment provision on a collective basis, statistical models are used. The following inputs to these models require significant management judgement:

- the probability of default (PD);
- the exposure at default (EAD);
- the loss given default (LGD); and
- the effective interest rates.

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In assessing loans and receivables on an individual basis, significant judgements, estimates and assumptions have been made by management to:

- Determine if the loan or advance is credit impaired;
- Evaluate the adequacy and recoverability of collateral;
- Determine the expected cash flows to be collected; and
- Estimate the timing of the future cash flows.

The disclosures associated with impairment of loans and receivables are set out in the financial statements in the following notes:

- Note 8 - Impairment charge for lease rentals receivables, hire purchase and loans and advances
- Note 4 - Impact on transition to SLFRS 9 on the company's financial statements
- Note 16 - Financial assets at amortised cost - Loan and advances
- Note 17 - Financial assets at amortised cost - Lease rental receivables and hire purchase

How our audit addressed the key audit matter

Our procedures included the following:

- We obtained an understanding of management's process and tested controls over credit origination, credit monitoring and credit remediation.
- We assessed the appropriateness of the accounting policies and loan impairment methodologies applied by comparing these to the requirements of SLFRS 9: Financial Instruments.
- We test-checked the underlying calculations and data.

In addition to the above, we performed the following specific procedures:

For loans and receivables collectively assessed for impairment:

- We assessed the completeness of the underlying information in loans and receivables used in the impairment calculations by agreeing details to the company's source documents and information in IT systems.
- We also considered the reasonableness of macro-economic and other factors used by management by comparing them with publicly available data and information sources.

For loans and receivables individually assessed for impairment:

- We assessed the main criteria used by the management for determining whether an impairment event had occurred.
- Where impairment indicators existed, we assessed the reasonableness of management's estimated future recoveries including the expected future cash flows, discount rates and the valuation of collateral held.

We also assessed the adequacy of the related financial statement disclosures including the disclosure on the impact of the initial adoption of SLFRS 9.

Other information

Management is responsible for the other information. The other information comprises the information included in the Annual Report. The Annual Report is expected to be made available to us after the date of this auditor's report.



- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with Those Charged with Governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide Those Charged with Governance with a statement that we have complied with ethical requirements in accordance with the Code of Ethics regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 3890.

BDO Partners

CHARTERED ACCOUNTANTS

Colombo

26th April, 2019

VR/dm

ASIA ASSET FINANCE PLC
STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME
FOR THE YEAR ENDED 31ST MARCH, 2019

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	Note	2018/2019 Rs.	2017/2018 Rs.
Interest income	5	2,722,660,945	2,443,389,400
Less: Interest expenses	6	(1,433,366,344)	(1,233,214,297)
Net interest income		1,289,294,601	1,210,175,103
Net trading gain/(loss) on held for trading securities		(9,220)	(31,406)
Other operating income	7	146,105,033	129,007,575
Less: Operating expenses			
Personnel expenses		(280,796,890)	(264,465,472)
Provision for staff retirement benefits		(5,272,963)	(5,754,935)
General and administration expenses		(633,317,428)	(449,633,183)
Impairment charge for lease rentals receivable, hire purchase, loans and advances	8	(357,620,797)	(333,396,606)
Operating profit before value added tax on financial services		158,382,336	285,901,076
Value added tax on financial services		(64,475,297)	(63,761,107)
Profit before income tax	9	93,907,039	222,139,969
Income tax expenses	10	7,022,779	(43,914,542)
Profit for the year		100,929,818	178,225,427
Other comprehensive income not to be re-classified to profit or loss in subsequent periods (net of tax)			
Actuarial gain/(loss) on retirement benefit liability		(719,285)	3,554,897
Deferred tax effect on components of other comprehensive income	10	(201,400)	(995,371)
Other comprehensive income / (expense) for the year net of tax		(920,685)	2,559,526
Total comprehensive income for the year		100,009,133	180,784,953
Earnings per share - basic	32	0.94	2.12

Figures in brackets indicate deductions.

The accounting policies and notes on pages 05 to 58 form an integral part of these financial statements.

Colombo
26th April, 2019

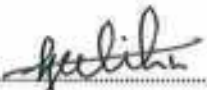


	Note	31.03.2019 Rs.	31.03.2018 Rs.
ASSETS			
Cash and cash equivalents	12	643,777,198	660,159,119
Investment in reverse repurchase agreements against the treasury bills and bonds at amortized cost	13	691,744,740	622,975,267
Other financial assets at amortized cost	14	-	207,244,747
Financial assets - fair value through profit or loss / held for trading	15	125	213,734
Financial assets at amortized cost - Loans and advances	16	7,453,374,463	7,247,899,368
Financial assets at amortized cost - Lease rentals receivable and hire purchase	17	4,102,651,935	2,280,489,222
Vehicle stock		18,913,569	262,088
Other assets	18	16,511,803	15,587,389
Income Tax Receivable	26	3,732,303	362,927
Advances, deposits and prepayments	19	155,155,197	67,948,443
Financial assets - Fair value through Other comprehensive income / available for sale	20	506,659	506,659
Property, plant and equipment	21	158,680,580	150,037,783
Investment property	22	393,818,513	352,385,530
Deferred tax assets	10	249,583,725	112,814,714
Intangible assets	23	11,043,610	8,807,431
Total assets		13,899,494,420	11,727,694,421
LIABILITIES			
Financial Liabilities - Due to banks	24	131,273,907	454,920,306
Other liabilities	25	217,163,369	36,650,813
Financial Liabilities - Other borrowed funds	27	4,958,735,615	3,001,078,792
Due to customers	28	6,617,344,955	6,356,067,246
Retirement benefit obligation	29	22,088,492	20,044,993
Total liabilities		11,946,606,338	9,868,762,150
EQUITY			
Stated capital	30	1,640,491,541	1,388,935,273
Retained earnings		239,007,167	401,610,081
Statutory reserve fund and other reserves	31	73,387,374	68,386,917
Total equity		1,952,888,082	1,858,932,271
Total equity and liabilities		13,899,494,420	11,727,694,421
Contingent liabilities and commitments	33		
Net assets value per share		18.18	2.22

Figures in brackets indicate deductions.

The accounting policies and notes on pages 05 to 58 form an integral part of these financial statements.

These Financial Statements are in compliance with the requirements of the Companies Act No.07 of 2007.


Geethika Elwaige
Assistant General Manager - Finance

The Board of Directors is responsible for the preparation and presentation of the financial statements.

Approved and signed for and on behalf of the Board.


R. J.A. Gunawardena
Director/Chief Executive Officer




C. Ramachandra
Chairman

	Stated capital Rs.	General reserve Rs.	Statutory reserve fund Rs.	Retained earnings Rs.	Total Rs.
Balance as at 1st April, 2017	1,388,935,273	3,000,000	56,347,669	288,608,924	1,736,891,866
Total comprehensive income for the year					
Profit for the year	-	-	-	178,225,427	178,225,427
Other comprehensive income (net of tax)	-	-	-	2,559,526	2,559,526
Total comprehensive income for the year	-	-	-	180,784,953	180,784,953
Transaction with equity holders recognized directly in equity					
Transfers to reserves	-	-	9,039,248	(9,039,248)	-
Total transactions with equity holders	-	-	9,039,248	(9,039,248)	-
Final dividend for 2016/2017	-	-	-	(58,744,548)	(58,744,548)
Balance as at 31st March, 2018	1,388,935,273	3,000,000	65,386,917	401,610,081	1,858,932,271
Impact of adoption of SLFRS 9	-	-	-	(257,611,590)	(257,611,590)
Recognition of SLFRS 09 ECLs	-	-	-	(357,793,876)	(357,793,876)
Deferred tax on transitional adjustments	-	-	-	100,182,286	100,182,286
Balance as at 1st April 2018	1,388,935,273	3,000,000	65,386,917	143,998,491	1,601,320,681
Total comprehensive income for the year					
Profit for the year	-	-	-	100,929,818	100,929,818
Other comprehensive expense (net of tax)	-	-	-	(920,685)	(920,685)
Total comprehensive income for the year	-	-	-	100,009,133	100,009,133
Transactions with equity holders recognized directly in equity					
Proceeds from right issue of ordinary shares	251,558,268	-	-	-	251,558,268
Transfers to reserves	-	-	5,000,457	(5,000,457)	-
Total transactions with equity holders	251,558,268	-	5,000,457	(5,000,457)	251,558,268
Balance as at 31st March, 2019	1,640,493,541	3,000,000	70,387,374	239,007,167	1,952,888,082

Figures in brackets indicate deductions.

The accounting policies and notes on pages 05 to 58 form an integral part of these financial statements.

Colombo
26th April, 2019



	Note	2018/2019 Rs.	2017/2018 Rs.
Cash flows from operating activities			
Profit before income tax		93,907,039	222,139,969
Adjustments for			
Depreciation and amortization	21 & 23	51,006,612	45,161,381
Impairment of lease hire purchase, loans and advances	8	357,620,797	333,396,606
Early termination of loans, leases and hire purchase		(35,561,373)	(36,107,333)
Non-cash items included in profit before tax (WHT and Notional tax)		(1,517,200)	(13,323,227)
Net interest adjustment under SLFRS - 09		24,153,962	-
Interest income on commercial papers		(6,234,305)	(28,949,821)
Profit on sale of vehicle stock		(86,431)	-
Profit on sale of held for trading securities		1,614	40,449
Gain/loss on fair valuation of held for trading securities		7,606	(9,044)
Gains from sale of property, plant and equipment, investment property and real estate inventories		(2,841,867)	(5,035,502)
Provision for retirement benefit liability	29	5,272,963	5,754,935
Interest expense on other borrowings		581,621,544	393,757,139
Cash generated from operations before working capital changes		1,067,350,961	916,825,552
(Increase)/decrease in lease rentals receivable and hire purchase		(1,936,369,097)	(936,179,413)
(Increase)/decrease in loans and advances		(862,275,657)	(673,111,281)
(Increase)/decrease in other receivables		(924,414)	38,711
(Increase)/decrease in deposits and prepayments		(47,300,314)	(3,450,246)
(Increase)/decrease in financial assets - loans and receivables		-	49,959,551
Increase in deposits from customers		261,277,709	674,889,106
Increase/(decrease) in other liabilities		164,012,558	(10,140,467)
Net cash from operating activities before income tax payments		(1,354,228,254)	18,831,513
Taxes paid		(31,617,521)	(57,310,691)
Gratuity paid		(3,948,750)	(930,000)
Net cash used in operating activities		(1,389,794,525)	(39,409,178)
Cash flows from/(used in) investing activities			
Acquisition of property, plant and equipment		(57,293,522)	(51,718,268)
Acquisition of intangible assets		(5,506,856)	(627,851)
Acquisition of investment property		(14,220,059)	(15,000,000)
Proceeds from sale of investment property		17,300,000	16,350,000
Acquisition of vehicle stock		(37,565,049)	-
Proceeds from sale of vehicle stock		19,000,000	-
Investments in commercial papers		-	(505,857,691)
Proceeds from commercial papers		213,479,053	327,562,766
Proceeds from sale of held for trading securities		204,389	-
Proceeds from sale of property, plant and equipment		2,836,973	24,782,254
Net cash from investing activities		138,234,929	(204,508,790)
Cash flows from/(used in) financing activities			
Repayment of other borrowed funds	27	(3,426,336,554)	(2,497,136,427)
Proceeds from other borrowed funds	27	4,802,371,833	2,627,939,860
Dividends paid		-	(57,864,958)
Proceed from right issue		251,558,268	-
Net cash generated from financing activities		1,627,593,547	72,938,475
Net increase in cash and cash equivalents		376,033,951	(170,979,493)
Cash and cash equivalents at the beginning of the year	A	828,214,080	999,193,573
Cash and cash equivalents at the end of the year	B	1,204,248,031	828,214,080
At the beginning of the year			Note A
Cash and cash equivalents		660,159,119	601,891,827
Investment in reverse repurchase agreements against treasury bills and bonds		622,975,267	433,333,648
Bank overdraft		(454,920,306)	(36,031,902)
		828,214,080	999,193,573
At the end of the year			Note B
Cash and cash equivalents		643,777,198	660,159,119
Investment in reverse repurchase agreements against treasury bills and bonds		691,744,740	622,975,267
Bank overdraft		(131,273,907)	(454,920,306)
		1,204,248,031	828,214,080

Figures in brackets indicate deductions.

The accounting policies and notes on pages 05 to 58 form an integral part of these financial statements.



1. CORPORATE INFORMATION

This section provides general information about Asia Asset Finance PLC.

1.1 General

Asia Asset Finance PLC is a Public Limited Liability company incorporated and domiciled in Sri Lanka and listed on the Colombo Stock Exchange. The company has been registered with the Central Bank of Sri Lanka as a Finance Company under the provisions of the Finance Business Act No. 42 of 2011 (formerly the Finance Companies Act No.78 of 1988). The company was re-registered under the Companies Act No. 07 of 2007. The registered office of the company and the principal place of business is located at No 76/1, Dharmapala Mawatha, Colombo 03.

1.2 Principal activities and nature of operations

The principal activities of the company comprise granting leases, hire purchase, mortgage loans, personal loans, group personal loans, gold loans, micro finance loans, pledge loans, cheque and invoice discounting and mobilization of public deposits.

There were no significant changes in the nature of the principal activities of the company during the financial year under review.

1.3 Parent entity and ultimate parent entity

The company's immediate and ultimate parent entity as at 31st March, 2019 is Muthoot Finance Limited which was incorporated in India.

1.4 Number of employees

The staff strength of the company as at 31st March, 2019 was 553 (489 as at 31st March, 2018).

2. BASIS OF PREPARATION AND OTHER SIGNIFICANT ACCOUNTING POLICIES

This section which provides additional information about the overall basis of preparation that the directors consider is useful and relevant in understanding these financial statements:

- A summary of other significant accounting policies affecting the results and financial position of the company, including changes in accounting policies and disclosures during the year.
- Standards that have been issued for which the company has not adopted.

2.1 Basis of measurement

The financial statements of the company have been prepared on the historical cost basis except for the following items in the statement of financial position:

Item	Basis of measurement
Financial assets measured at fair value through profit or loss (from April 1, 2018)	Fair value
Financial assets held for trading (Up to March 31, 2018)	
Financial assets measured at fair value through other comprehensive income (from April 1, 2018)	Fair value
Financial assets available for sale (Up to March 31, 2018)	

SIGNIFICANT ACCOUNTING POLICIES TO THE FINANCIAL STATEMENTS

Item	Basis of measurement
Retirement benefit obligation	Liability is recognized as the present value of the retirement obligation plus unrecognized actuarial gains less unrecognized past service cost and unrecognized actuarial losses.

2.2 Statement of compliance

The financial statements of the company as at 31st March, 2019 and for the year ended have been prepared and presented in accordance with Sri Lanka Accounting Standards (SLFRSs and LKAS) laid down by the Institute of Chartered Accountants of Sri Lanka and in compliance with the requirements of the Companies Act No. 07 of 2007, the Finance Business Act No 42 of 2011 and the Listing Rules of the Colombo Stock Exchange.

These financial statements include the following components:

- A statement of profit or loss and other comprehensive income providing the information on the financial performance of the company for the year under review.
- A statement of financial position providing the information on the financial position of the company as at the year end.
- A statement of changes in equity depicting all changes in shareholders' equity during the year under review of the company.
- A statement of cash flows providing the information to the users, on the ability of the company to generate cash and cash equivalents and the needs of entity to utilize those cash flow and
- Notes to the financial statements comprising accounting policies and other explanatory information

2.3 Responsibility for financial statements

The Board of Directors is responsible for the preparation and presentation of these financial statements as per the provision of the Companies Act No. 07 of 2007 and Sri Lanka Accounting Standards.

2.4 Approval of financial statements by the Board of Directors

The financial statements of Asia Asset Finance PLC for the year ended 31st March, 2019 (including comparatives) were approved and authorized for issue on 26th April, 2019 in accordance with a resolution of the Board of Directors on 26th April, 2019.

2.5 Presentation of financial statements

The assets and liabilities in the statement of financial position are grouped by nature and listed in an order that reflects their relative liquidity and maturity pattern. An analysis regarding recovery or settlement within 12 months after the reporting date (current) and more than 12 months after the reporting date (non-current) has been presented in note 36 (current/non-current analysis). No adjustments have been made for inflationary factors affecting the financial statements.

Financial assets and financial liabilities are offset and the net amount reported in the statement of financial position only when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the assets and settle the liability simultaneously. Income and expenses are not offset in the statement of comprehensive income unless it is required or permitted by any accounting standard or interpretation.



SIGNIFICANT ACCOUNTING POLICIES TO THE FINANCIAL STATEMENTS

2.6 Comparative information

Comparative information including quantitative, narrative and descriptive information is disclosed in respect of the previous period in the Financial Statements in order to enhance the understanding of the current period's Financial Statements and to enhance the inter period comparability. The presentation and classification of the Financial Statements of the previous year are amended, where relevant for better presentation and to be comparable with those of the current year. The company has not restated the comparative information for 2017/2018 for financial instruments within the scope of Sri Lanka Accounting Standard - SLFRS 9 on "Financial Instruments" (SLFRS 9). Therefore, the comparative information for 2017/2018 is reported under Sri Lanka Accounting Standard - LKAS 39 on "Financial Instruments: Recognition and Measurement" (LKAS 39) and is not comparable to the information presented for 2017/2018. Differences arising from adoption of SLFRS 9 have been recognised directly in equity as of April 1, 2018 and are disclosed in Note 4.

2.7 Functional and presentation currency

The financial statements have been presented in Sri Lanka Rupee (Rs.), which is the company's functional and presentation currency.

2.8 Materiality and aggregation

In compliance with the Sri Lanka Accounting Standard - LKAS 01 on 'Presentation of Financial Statements', each material class of similar items is presented separately in the financial statements. Items of dissimilar nature or functions too are presented separately, unless they are immaterial.

2.9 Rounding

The amounts in the financial statements have been rounded-off to the nearest Rupee, except where it is otherwise indicated as permitted by the Sri Lanka Accounting Standard- LKAS 01 on 'Presentation of Financial Statements'.

2.10 Foreign currency transactions and balances

All foreign currency transactions are translated into the functional currency which is Sri Lanka Rupee (Rs.) at the spot exchange rate prevailing at the date of the transactions being effected. In this regard, the company's practice is to use the middle rate of exchange ruling at the date of the transaction.

Monetary assets and liabilities denominated in foreign currencies at the reporting date are retranslated to the functional currency at the spot rate of exchange ruling at the reporting date. The foreign currency gain or loss on monetary items is the difference between the amortized cost in the functional currency at the beginning of the year adjusted for effective interest and payments during the year and the amortized cost in foreign currency translated at the exchange rate at the reporting date.

Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the spot exchange rates as at the date of recognition. Non-monetary items measured at fair value in a foreign currency are translated using the spot exchange rates at the date when the fair value was determined.



SIGNIFICANT ACCOUNTING POLICIES TO THE FINANCIAL STATEMENTS

2.11 Significant accounting judgements, estimates and assumptions

The preparation of the financial statements of the company in conformity with SLFRS and LKAS requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Further, the management is also required to consider key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year. Actual results may differ from these estimates.

Accounting judgments, estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period in which the estimates are revised and in any future periods affected.

Significant accounting judgments, estimates and assumptions involving uncertainty are discussed below, whereas the respective carrying amounts of such assets and liabilities are given in the related notes.

2.11.1 Classification of financial assets and liabilities

Applicable from April 1st, 2018

As per SLFRS 9, the Significant Accounting Policies of the company provides scope for financial assets to be classified and subsequently measured into different categories, namely, at Amortised Cost, Fair Value through Other Comprehensive Income (FVOCI) and Fair Value Through Profit or Loss (FVTPL) based on the following criteria;

- The entity's business model for managing the financial assets as set out in Note 3.1.3.1.
- The contractual cash flow characteristics of the financial assets as set out in Note 3.1.3.2.

2.11.2 Impairment Losses on Financial assets

The measurement of impairment losses both under SLFRS 9 and LKAS 39 across all categories of financial assets requires judgement, in particular, the estimation of the amount and timing of future cash flows and collateral values when determining impairment losses. These estimates are based on the assumptions about a number of factors and the actual results may differ, resulting in future changes to the allowance.

Refer Notes 3.1.11. for more details relating to impairment loss assessment on financial assets.

2.11.3 Going concern

The company's management has made an assessment on the company's ability to continue as a going concern and is satisfied that it has the resources to continue in business for the foreseeable future. Furthermore, the management is not aware of any material uncertainties that may cast significant doubt upon the company's ability to continue as a going concern. Therefore, the financial statements continue to be prepared on the going concern basis.

2.11.4 Taxation

The company is subject to income taxes and other taxes including VAT on financial services. Significant judgment is required to determine the total provision for current, deferred and other taxes pending the issue of tax guideline on the treatment of the adoption of SLFRSs in the financial statements and the taxable profit for the purpose of imposition of taxes. Uncertainties exist, with respect to the interpretation of the applicability of tax laws, at the time of the preparation of these financial statements.



SIGNIFICANT ACCOUNTING POLICIES TO THE FINANCIAL STATEMENTS

The company recognizes assets and liabilities for current, deferred and other taxes based on estimates of whether additional taxes will be due. Where the final tax outcome of these matters is different from the amounts that were initially recorded, such differences will impact the income and deferred tax amounts in the period in which the determination is made.

2.11.5 Deferred tax assets

Deferred tax assets are recognised in respect of tax losses to the extent it is probable that future taxable profit will be available against which the losses can be utilised. Judgement is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and level of future taxable profits, together with the future tax planning strategies.

2.11.6 Retirement benefit obligation

The cost of the retirement benefit obligation of employees is determined using an actuarial valuation. The actuarial valuation is based on assumptions concerning the rate of interest, rate of salary increase, staff turnover, and retirement age and going concern of the company. Due to the long-term nature of such obligation, these estimates are subject to significant uncertainty. Further details are given in note 29 to the financial statements.

2.11.7 Useful lives of property, plant and equipment and intangible assets

The company depreciates the property plant and equipment, using the straight line method over their estimated useful lives after taking into account of their estimated residual values. The estimated useful life reflects the management's estimate of the period that the company intends to derive future economic benefits from the use of the property, plant and equipment. The residual value reflects the management's estimated amount that the company would currently obtain from the disposal of the asset, after deducting the estimated disposal, as if the asset were already of the age and in the conditions expected at the end of its useful life. Changes in the expected level of usage and technological developments could affect the economic useful lives and the residual values of these assets which could then consequentially impact future depreciation charges.

2.12. Changes in Accounting Policies

The company has consistently applied the Accounting Policies to all periods presented in these Financial Statements, except for the changes arising out of transition to SLFRS 9 and Sri Lanka Accounting Standard - SLFRS 7 (revised) on "Financial Instruments: Disclosures" (SLFRS 7) and Sri Lanka Accounting Standard - SLFRS 15 "Revenue from Contracts with Customers" (SLFRS 15) as set out below:

2.12.1. New and amended standards and interpretations

In these financial statements, the company has applied SLFRS 9, SLFRS 7 and SLFRS 15, which are effective for the annual reporting periods beginning on or after January 1, 2018, for the first time. The company has not early adopted any other standard, interpretation or amendment that has been issued but not effective.

2.12.1.1 SLFRS 9 - Financial Instruments

SLFRS 9 issued in December 2014 replaced LKAS 39 and is applicable for annual reporting periods beginning on or after January 1st, 2018/2019.



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In accordance with the option given in SLFRS 9 not to restate the comparatives, the company has not restated comparative information for 2017/2018 for financial instruments within the scope of SLFRS 9. Therefore, comparative information for 2017/2018 is reported under LKAS 39 and is not comparable with the information presented for 2018/2019.

Differences arising from the adoption of SLFRS 9 have been recognised directly in equity as of April 1st, 2018 and are disclosed in Note 4.

2.12.1.1.1 Changes to classification and measurement

To determine their classification and measurement category, SLFRS 9 requires all financial assets, except equity instruments and derivatives, to be assessed based on a combination of the entity's business model for managing the assets and the instruments' cash flow characteristics.

Classification and measurement categories as specified in LKAS 39 for financial assets (FVTPL, HTM, L&R and AFS) have been replaced by;

- Financial assets measured at amortised cost
- Financial assets measured at Fair value through other comprehensive income (FVOCI)
- Financial assets measured at Fair value through profit or loss (FVTPL)

FVOCI includes debt and equity instruments measured at fair value through other comprehensive income. On derecognition of debt instruments measured at FVOCI, cumulative gains or losses are recycled to profit or loss. However, cumulative gains or losses on derecognition of equity instruments measured at FVOCI are not reclassified to profit or loss and transferred directly to retained earnings.

SLFRS 9 largely retains the existing requirements in LKAS 39 for the classification of financial liabilities. However, under LKAS 39, all fair value changes of liabilities designated under the fair value option were recognised in profit or loss. Under SLFRS 9 fair value changes are generally presented as follows:

- The amount of change in the fair value that is attributable to changes in the credit risk of the liability is presented in Other Comprehensive Income (OCI); and
- The remaining amount of change in the fair value is presented in profit or loss.

Note 3.1.4 provides an explanation on how the company classifies financial liabilities under SLFRS 9.

The following assessments have been made on the basis of the facts and circumstances that existed at the transition date; i.e. April 1, 2018.

- The determination of the business model within which a financial asset is held.
- The designation and revocation of previous designations of certain financial assets and financial liabilities as measured at FVTPL.
- The designation of certain investments in equity instruments not held for trading as at FVOCI.



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- For financial liabilities designated at FVTPL, the determination of whether presenting the effects of changes in the financial liability's credit risk in OCI would create or enlarge an accounting mismatch in profit or loss.

The company's classification of its financial assets and liabilities is given in Notes 3.1.3 and 3.1.4. The quantitative impact of applying SLFRS 9 as at April 1, 2018 is disclosed in Note 4.

2.12.1.1.2 Changes to the impairment calculation

The adoption of SLFRS 9 has fundamentally changed the company's accounting for loan loss impairments by replacing the incurred loss approach under LKAS 39 with a forward-looking expected credit loss (ECL) approach. SLFRS 9 requires the company to record an allowance for ECLs for all loans and other debt financial assets not held at FVTPL, together with loan commitments and financial guarantee contracts but not to equity investments. Under SLFRS 9, credit losses are recognised earlier than under LKAS 39.

The allowance is based on the ECLs associated with the PD in the next twelve months unless there has been a significant increase in credit risk since origination. Lifetime expected credit loss is provided for financial assets for which the credit risk has increased significantly from initial recognition and the credit impaired assets subsequent to initial recognition. If the financial asset meets the definition of purchased or originated credit impaired (POCI), the allowance is based on the change in the ECLs over the life of the asset.

If a debt security had low credit risk at the date of initial application of SLFRS 9, then the company has assumed that credit risk on the asset had not increased significantly since its initial recognition.

Details of the company's impairment method are disclosed in Note 3.1.11.

2.12.1.2 SLFRS 7 (Revised) - Financial Instruments: Disclosures

The company adopted SLFRS 7 together with SLFRS 9, effective from April 1, 2018. Changes including transition disclosures as shown in Note 4 together with detailed qualitative and quantitative information about the ECL calculations such as the assumptions and inputs used are disclosed as per the requirements of the Standards in Notes 3.1.11, 16 and 17.

Movements during the year in the ECL allowances are presented in Note 16 and 17.

2.12.1.3 SLFRS 15 - Revenue from contracts with customers

SLFRS 15 replaces revenue recognition guidance, including LKAS 18 on "Revenue", LKAS 11 on "Construction Contracts" and IFRIC 13 on "Customer Loyalty Programmes" and is effective for annual reporting periods beginning on or after January 1, 2018.

SLFRS 15 provides a comprehensive framework for determining whether, how much, and when revenue is recognised. SLFRS 15 requires new qualitative and quantitative disclosure aimed at enabling users of Financial Statements to understand the nature, amount, timing and uncertainty of revenue and cash flows arising from contracts with customers.



Entities are required to apply five-step model to determine when to recognise revenue and at what amount. The model specifies that revenue is recognised when or as an entity transfers control of goods and services to a customer at the amount at which the entity expects to be entitled.

There is no significant impact on the Financial Statement of the company resulting from the application of SLFRS 15.

2.13 Standards issued but not yet effective

2.13.1 SLFRS 16 - Leases

SLFRS 16 eliminates the classification of leases as either operating or finance for lessees and instead, introduces a single lessee accounting model. This model reflects that leases result in a company obtaining the right to use an asset at the start of the lease and, because most lease payments are made over time, also obtaining financing. As a result, the new standard requires lessees to account for all of their leases in a manner similar to how finance leases were treated applying LKAS 17.

The new standard SLFRS 16, supersedes the requirement in LKAS 17 leases and will become effective on 01st January, 2019.

3. SIGNIFICANT ACCOUNTING POLICIES

3.1. Financial instruments - initial recognition, classification and subsequent measurement

3.1.1 Date of recognition

The company initially recognises loans and advances, deposits and subordinated liabilities, etc., on the date on which they are originated. All other financial instruments (including regular-way purchases and sales of financial assets) are recognised on the trade date, which is the date on which the company becomes a party to the contractual provisions of the instrument.

3.1.2 Initial measurement of financial instruments

The classification of financial instruments at initial recognition depends on their cash flow characteristics and the business model for managing the instruments. Refer Notes 3.1.3 and 3.1.4 for further details on classification of financial instruments.

A financial asset or financial liability is measured initially at fair value plus or minus transaction costs that are directly attributable to its acquisition or issue, except in the case of financial assets and financial liabilities at fair value through profit or loss as per SLFRS 9 and trade receivables that do not have a significant financing component as defined by SLFRS 15.

Transaction cost in relation to financial assets and financial liabilities at fair value through profit or loss are dealt with through the Income Statement.

Trade receivables that do not have significant financing component are measured at their transaction price at initial recognition as defined in SLFRS 15.

When the fair value of financial instruments (except trade receivables that do not have significant financing component) at initial recognition differs from the transaction price, the company accounts for the Day 1 profit or loss, as described below.



3.1.2.1 "Day 1" profit or loss

When the transaction price of the instrument differs from the fair value at origination and fair value is based on a valuation technique using only inputs observable in market transactions, the company recognises the difference between the transaction price and fair value in net gains/(losses) from trading. In those cases, where the fair value is based on models for which some inputs are not observable, the difference between the transaction price and the fair value is deferred and is only recognised in profit or loss when the inputs become observable, or when the instrument is de-recognised.

3.1.3 Classification and subsequent measurement of financial assets

From April 1, 2018 as per SLFRS 9, the company classifies all of its financial assets based on the business model for managing the assets and the assets' contractual terms measured at either;

- Amortised cost
- Fair value through other comprehensive income (FVOCI)
- Fair value through profit or loss (FVTPL)

The subsequent measurement of financial assets depends on their classification.

Up to March 31, 2018 as per LKAS 39, the company classified its financial assets into one of the following categories:

- Financial assets at fair value through profit or loss (FVTPL), and within this category
 - Held for trading
 - Designated at fair value through profit or loss
- Loans and receivables
- Held to maturity
- Available for sale

Details of the impact on reclassification and measurement from LKAS 39 to SLFRS 9 are disclosed in transition disclosures given in Note 4.

3.1.3.1 Business model assessment

With effect from April 1, 2018, the company makes an assessment of the objective of a business model in which an asset is held at a portfolio level and not assessed on instrument-by-instrument basis because this best reflects the way the business is managed and information is provided to management.

The information considered includes:

- the stated policies and objectives for the portfolio and the operation of those policies in practice. In particular, whether management's strategy focuses on earning contractual interest revenue, maintaining a particular interest rate profile, matching the duration of the financial assets to the duration of the liabilities that are funding those assets or realizing cash flows through the sale of the assets;



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- how the performance of the portfolio is evaluated and reported to the company's management;
- the risks that affect the performance of the business model (and the financial assets held within that business model) and how those risks are managed;
- how managers of the business are compensated - e.g. whether compensation is based on the fair value of the assets managed or the contractual cash flows collected; and
- The frequency, volume and timing of sales in prior periods, the reasons for such sales and its expectations about future sales activity. However, information about sales activity is not considered in isolation, but as part of an overall assessment of how the company's stated objective for managing the financial assets is achieved and how cash flows are realised.

The business model assessment is based on reasonably expected scenarios without taking 'worst case' or 'stress case' scenarios into account. If cash flows after initial recognition are realised in a way that is different from the company's original expectations, the company does not change the classification of the remaining financial assets held in that business model, but incorporates such information when assessing newly originated or newly purchased financial assets going forward.

3.1.3.2 Assessment of whether contractual cash flows are solely payments of principal and interest (SPPI test)

As a second step of its classification process the company assesses the contractual terms of financial assets to identify whether they meet the SPPI test.

For the purposes of this assessment, "principal" is defined as the fair value of the financial asset on initial recognition and may change over the life of the financial asset (for example, if there are repayments of principal or amortisation of the premium/discount).

"Interest" is defined as consideration for the time value of money and for the credit risk associated with the principal amount outstanding during a particular period of time and for other basic lending risks and costs, as well as profit margin.

In contrast, contractual terms that introduce a more than de minimise exposure to risks or volatility in the contractual cash flows that are unrelated to a basic lending arrangement do not give rise to contractual cash flows that are solely payments of principal and interest on the principal amount outstanding. In such cases, the financial asset is required to be measured at FVTPL.

In assessing whether the contractual cash flows are solely payments of principal and interest on principal amount outstanding, the company considers the contractual terms of the instrument. This includes assessing whether the financial asset contains a contractual term that could change the timing or amount of contractual cash flows such that it would not meet this condition. In making the assessment, the company considers:

- contingent events that would change the amount and timing of cash flows;
- leverage features;
- prepayment and extension terms;



- terms that limit the company's claim to cash flows from specified assets; and
- features that modify consideration of the time value of money.

Refer Notes 3.1.3.3 to 3.1.3.5. below for details on different types of financial assets recognised on the Statement of Financial Position. (SOFP)

3.1.3.3 Financial assets measured at amortised cost

A financial asset is measured at amortised cost if it meets both of the following conditions and is not designated as at FVTPL:

- The asset is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Financial assets measured at amortised cost are given in Notes 3.1.3.3.1 to 3.1.3.3.3 below.

3.1.3.3.1 Loans and advances to customers

Loans and advances to customers include loans and advances, and lease and hire purchase receivables of the company.

Details of "Loans and advances to customers" are given in Notes 16 and 17.

3.1.3.3.2 Investment in reverse repurchase agreements against the treasury bills and bonds

When the company purchases a financial asset and simultaneously enters into an agreement to resale the asset (or a similar asset) at a fixed price on a future date (reverse repo), the arrangement is accounted for as a financial asset in the SOFP reflecting the transaction's economic substance as a loan granted by the company. Subsequent to initial recognition, these securities issued are measured at amortised cost using the EIR with the corresponding interest income/ receivable being recognised as interest income in profit or loss.

Details of "Investment in reverse repurchase agreements against the treasury bills and bonds" are given in Note 13.

3.1.3.3.3 Cash and cash equivalents

Cash and cash equivalents include cash in hand, placements with banks and loans at call and at short notice that are subject to an insignificant risk of changes in their fair value, and are used by the company in the management of its short-term commitments. They are brought to the financial statements at their face values or the gross values, where appropriate. Cash and cash equivalents are carried at amortized cost in the statement of financial position.

3.1.3.4 Financial assets measured at FVOCI

Financial assets at FVOCI include debt and equity instruments measured at fair value through other comprehensive income.

3.1.3.4.1 Debt instruments measured at FVOCI

Debt instruments are measured at FVOCI if they are held within a business model whose objective is to hold for collection of contractual cash flows and for selling financial assets, where the asset's cash flows represent payments that are solely payments of principal and interest on principal outstanding. Details of "Debt instruments at FVOCI" are given in Note 20.

SIGNIFICANT ACCOUNTING POLICIES TO THE FINANCIAL STATEMENTS

3.1.3.4.2 Equity instruments designated at FVOCI

Upon initial recognition, the company elects to classify irrevocably some of its equity investments held for strategic and statutory purposes as equity instruments at FVOCI. Details of "Equity instruments at FVOCI" are given in Note 20.

3.1.3.5 Financial assets measured at FVTPL

As per SLFRS 9, all financial assets other than those classified at amortised cost or FVOCI are classified as measured at FVTPL. Financial assets at fair value through profit or loss include financial assets that are held for trading or managed and whose performance is evaluated on a fair value basis as they are neither held to collect contractual cash flows nor held both to collect contractual cash flows and to sell financial assets.

3.1.4 Classification and subsequent measurement of financial liabilities

As per SLFRS 9, the company classifies financial liabilities, other than financial guarantees and loan commitments into one of the following categories:

- Financial liabilities at fair value through profit or loss, and within this category as -
 - Held-for-trading; or
 - Designated at fair value through profit or loss;
- Financial liabilities measured at amortised cost.

The subsequent measurement of financial liabilities depends on their classification.

SLFRS 9 largely retains the existing requirements in LKAS 39 for the classification of financial liabilities.

3.1.4.1 Financial liabilities at fair value through profit or loss

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as at fair value through profit or loss. The company does not have any financial liabilities at fair value through profit or loss.

3.1.4.2 Financial liabilities at amortised cost

Financial liabilities issued by the company that are not designated at FVTPL are classified as financial liabilities at amortised cost under "Due to banks", "Due to customers" or "Other borrowings" as appropriate, where the substance of the contractual arrangement results in the company having an obligation either to deliver cash or another financial asset to the holder, or to satisfy the obligation other than by the exchange of a fixed amount of cash or another financial asset for a fixed number of own equity shares. The company classifies capital instruments as financial liabilities or equity instruments in accordance with the substance of the contractual terms of the instrument.

After initial recognition, such financial liabilities are subsequently measured at amortised cost using the EIR method. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR.



The EIR amortisation is included in "Interest expense" in the Income Statement. Gains and losses too are recognised in the Income Statement when the liabilities are derecognised as well as through the EIR amortisation process.

3.1.4.2.1 Due to banks

Due to banks include bank overdrafts and long-term and short-term loans obtained from banks. Subsequent to initial recognition, these are measured at their amortised cost using the EIR method. Amortised cost is calculated by taking into account any discount or premium on the issue and costs that are an integral part of the EIR. The EIR amortisation is included in 'interest expenses' in the statement of profit or loss. Gains and losses are recognized in the statement of profit or loss when the liabilities are de-recognized as well as through the EIR amortisation process. Details of "Due to banks" are given in Note 24.

3.1.4.2.2 Due to customers

Due to customers include fixed deposits and savings deposits. Subsequent to initial recognition, these are measured at their amortised cost using the Effective Interest Rate (EIR) method. Amortised cost is calculated by taking into account any discount or premium on the issue and costs that are an integral part of the EIR. The EIR amortisation is included in 'interest expenses' in the statement of profit or loss. Gains and losses are recognized in the statement of profit or loss when the liabilities are de-recognized as well as through the EIR amortisation process. Details of "Due to customers" are given in Note 28.

3.1.4.2.3 Other Borrowed Funds

Debt instruments and other borrowings are initially recognised at fair value net of transactions cost. Subsequently, they are stated at amortised cost; any difference between the proceeds (net of transaction cost) and the repayable amount (including interest) is recognized in the statement of profit or loss over the period of the loan using effective interest rate method. Details of "Other Borrowed Funds" are given in Note 27.

3.1.5 Reclassification of financial assets and liabilities

As per SLFRS 9, Financial assets are not reclassified subsequent to their initial recognition, except and only in those rare circumstances when the company changes its objective of the business model for managing such financial assets which may include the acquisition, disposal or termination of a business line.

Financial Liabilities are not reclassified as such reclassifications are not permitted by SLFRS 9.

3.1.5.1 Timing of reclassification of financial assets

Consequent to the change in the business model, the company reclassifies all affected assets prospectively from the first day of the first reporting period following the change in the business model (the reclassification date). Accordingly, prior periods are not restated.

3.1.5.2 Measurement of reclassification of financial assets

3.1.5.2.1 Reclassification of Financial Instruments at 'Fair value through profit or loss'

- To Fair value through other comprehensive income

The fair value on reclassification date becomes the new gross carrying amount. The EIR is calculated based on the new gross carrying amount. Subsequent changes in the fair value is recognized in OCI.

SIGNIFICANT ACCOUNTING POLICIES TO THE FINANCIAL STATEMENTS

- To Amortised Cost

The fair value on reclassification date becomes the new carrying amount. The EIR is calculated based on the new gross carrying amount.

3.1.5.2.2 Reclassification of Financial Instruments at 'Fair value through other comprehensive income'

- To Fair value through profit or loss

The accumulated balance in OCI is reclassified to profit and loss on the reclassification date.

- To Amortised Cost

The financial asset is reclassified at fair value. The cumulative balance in OCI is removed and is used to adjust fair value on the reclassification date. The adjusted amount becomes the amortised cost.

EIR determined at initial recognition and gross carrying amount are not adjusted as a result of reclassification.

3.1.5.2.3 Reclassification of Financial Instruments at "Amortised Cost"

- To Fair value through other comprehensive income

The asset is remeasured to fair value, with any difference recognised in OCI. EIR determined at initial recognition is not adjusted as a result of reclassification.

- To Fair value through profit or loss

The fair value on the reclassification date becomes the new carrying amount. The difference between amortised cost and fair value is recognised in profit and loss.

3.1.6 De-recognition of financial assets and financial liabilities**3.1.6.1 Financial assets**

The company de-recognises a financial asset (or where applicable a part thereof) when the contractual rights to the cash flows from the financial asset expire or it transfers the rights to receive the contractual cash flows in a transaction in which substantially all risks and rewards of ownership of the financial asset are transferred or in which the company neither transfers nor retains substantially all risks and rewards of ownership and it does not retain control of the financial asset.

3.1.6.2 Financial liabilities

The company de-recognises a financial liability when its contractual obligations are discharged, cancelled or expired.

3.1.7 Modification of financial assets and financial liabilities**3.1.7.1 Financial assets**

If the terms of a financial asset are modified, the company evaluates whether the cash flows of the modified asset are substantially different. If the cash flows are substantially different, then the contractual rights to cash flows from the original financial asset are deemed to have expired. In this case, the original financial asset is derecognised and a new financial asset is recognised at fair value.



As per SLFRS 9, if the cash flows of the modified asset carried at amortised cost are not substantially different, then the modification does not result in derecognition of the financial asset. In this case, the company recalculates the gross carrying amount of the financial asset and recognises the amount arising from adjusting the gross carrying amount as a modification gain or loss in profit or loss. If such a modification is carried out because of financial difficulties of the borrower, then the gain or loss is presented together with impairment losses. In other cases, it is presented as interest income.

As per LKAS 39, if the terms of a financial asset were modified because of financial difficulties of the borrower and the asset was not de-recognised, then impairment of the asset was measured using pre-modification interest rate.

3.1.7.2 Financial liabilities

Where an existing financial liability is replaced by another from the same lender on substantially different terms or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a de-recognition of the original liability and the recognition of a new liability. In this case, a new financial liability based on the modified terms is recognised at fair value. The difference between the carrying amount of the financial liability extinguished and the new financial liability with modified terms is recognised in profit or loss.

3.1.8 Offsetting of financial instruments

Financial assets and financial liabilities are offset and the net amount reported in the SOFP if, and only if, there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the assets and settle the liabilities simultaneously.

Income and expenses are presented on a net basis only when permitted under SLFRSs, or for gains and losses arising from a group of similar transactions such as in the company's trading activity.

3.1.9 Amortised cost and gross carrying amount

The "amortised cost" of a financial asset or financial liability is the amount at which the financial asset or financial liability is measured on initial recognition minus the principal repayments, plus or minus the cumulative amortisation using the EIR method of any difference between that initial amount and the maturity amount and, for financial assets, adjusted for any ECL allowance.

The "gross carrying amount of a financial asset" is the amortised cost of a financial asset before adjusting for any ECL allowance.

3.1.10 Fair value of financial instruments

Fair value measurement of financial instruments including the fair value hierarchy is explained in Note 37.

3.1.11 Identification and measurement of impairment of financial assets

3.1.11.1 Overview of the ECL principles

As per SLFRS 9, the company records an allowance for expected credit losses for loans and advances to customers, debt and other financial instruments measured at amortised cost, debt instruments measured at fair value through other comprehensive income and loan commitments.



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SLFRS 9 outlines a "three-stage" model for impairment based on changes in credit quality since initial recognition.

- Stage 1: A financial asset that is not originally credit-impaired on initial recognition is classified in Stage 1. Financial instruments in Stage 1 have their ECL measured at an amount equal to the proportion of lifetime expected credit losses (LTECL) that result from default events possible within next 12 months (12M ECL).
- Stage 2: If a significant increase in credit risk (SICR) since origination is identified, it is moved to Stage 2 and the company records an allowance for LTECL. Refer Note 3.1.11.2 for a description on how the company determines when a significant increase in credit risk has occurred.
- Stage 3: If a financial asset is credit-impaired, it is moved to Stage 3 and the company recognises an allowance for LTECL, with probability of default at 100%. Refer Note 3.1.11.3 for a description on how the company defines credit impaired and default.
- Purchased or originated credit impaired (POCI) financial assets: Financial assets which are credit impaired on initial recognition are categorised within Stage 3 with a carrying value already reflecting the lifetime expected credit losses. The company does not have POCI loans as at the reporting date.

The key judgements and assumptions adopted by the company in addressing the requirements of SLFRS 9 are discussed below:

3.1.11.2 Significant increase in credit risk

When determining whether the risk of default on a financial instrument has increased significantly since initial recognition, the company considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information analysis, based on the company's historical experience and expert credit assessment and including forward looking information.

The company considers an exposure to have significantly increased credit risk when contractual payments of a customer are more than 30 days past due in accordance with the rebuttable presumption in SLFRS 9.

The company individually reviews at each reporting date, loans and advances above a predefined threshold to identify whether the credit risk has increased significantly since origination, before an exposure is in default. Such indicators include, inter alia:

- When reasonable and supportable forecasts of future economic conditions directly affect the performance of a customer/group of customers, portfolios or instruments.
- When there is a significant change in the geographical locations or natural catastrophes that directly impact the performance of a customer/group of customers or instruments.
- When the value of collateral is significantly reduced and/or realisability of collateral is doubtful.
- When a customer is subject to litigation that significantly affects the performance of the credit facility.



SIGNIFICANT ACCOUNTING POLICIES TO THE FINANCIAL STATEMENTS

Those financial assets for which, the company determines that no provision is required under individual impairment are then collectively assessed for ECL. For the purpose of ECL calculation on collective basis, financial assets are grouped on the basis of similar risk characteristics. Loans and advances to customers are grouped into homogeneous portfolios, based on a combination of product and customer characteristics.

3.1.11.6. The Calculation of Expected Credit Loss Principle (ECL)

The Company calculates ECL based on 3 probability weighted scenarios to measure expected cash shortfalls, discounted at an approximation to the EIR.

A cash shortfall is the difference between the cash flows that are due to an entity in accordance with the contract and the cash flows that the entity expects to receive.

The mechanics of the ECL calculation are outlined below and the key elements are as follows:

- **PD:** The Probability of Default is an estimate of the likelihood of default over a given time horizon. A default may only happen at a certain time over the assessed period, if the facility has not been previously derecognized and is still in the portfolio
- **EAD:** Exposure At Default is the estimate of the exposure at a future default date, taking into account expected changes in the exposure after the reporting date, including repayments of the principle and interest, whether scheduled by contract or otherwise, expected draw downs on committed facilities and accrued financing income from missed payments.
- **LGD:** Loss Given Default is an estimate of the loss arising in the case where a default occurs at a given time. It is based on the difference between the contractual cash flows due and those that the lenders would expect to receive, including realization of any collateral.

3.1.11.7. Forward-looking information

The company incorporates forward-looking information into both its assessment as to whether the credit risk of an instrument has increased significantly since its initial recognition and its measurement of ECL.

The company has identified key drivers of credit risk both quantitative and qualitative for various portfolio segments. Quantitative economic factors are based on economic data and forecasts published by CBSL and supranational organisations such as IMF.

Quantitative drivers of credit risk

GDP growth
Unemployment rate
Interest rate (AWPLR)
Rate of inflation
Exchange rate

Qualitative drivers of credit risk

Status of industry business
Regulatory impact
Government policies



SIGNIFICANT ACCOUNTING POLICIES TO THE FINANCIAL STATEMENTS

3.1.12 Write-off of loans and advances

Loans (and the related impairment allowance accounts) are normally written off, either partially or in full, when there is no realistic prospect of recovery. Where loans are secured, this is generally after receipt of any proceeds from the realization of security.

3.2 Property, plant and equipment**3.2.1. Basis of recognition**

Property, plant and equipment are tangible items that are held for servicing, or for administrative purposes, and are expected to be used during more than one year.

Property, plant and equipment are recognised if it is probable that future economic benefits associated with the assets will flow to the company and cost of the assets can be measured reliably.

3.2.2. Basis of measurement

An item of property, plant and equipment that qualifies for recognition as an asset is initially measured at its cost. Cost includes expenditure that is directly attributable to the acquisition of the asset and cost incurred subsequently to add to, or replace a part of it. The cost of self-constructed assets includes the cost of materials and direct labour, any other costs directly attributable to bringing the asset to a working condition for its intended use and the costs of dismantling and removing the items and restoring at the site on which they are located and capitalized borrowing costs. Purchased software that is integral to the functionality of the related equipment is capitalized as a part of computer equipment.

When parts of an item of property, plant and equipment have different useful lives, they are accounted for as separate items (major components) of property, plant and equipment.

The company applies the cost model to property, plant and equipment and records at cost of purchase or construction together with any incidental expenses thereon less accumulated depreciation and any accumulated impairment losses.

3.2.3. Subsequent costs

The cost of replacing a part of an item of property, plant and equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the company and its cost can be measured reliably. The cost of day today servicing of property, plant and equipment is charged to the statement of profit or loss as incurred.

3.2.4. Repairs and maintenance

Repairs and maintenance are charged to the statement of profit or loss during the financial period in which they are incurred. The cost of major renovations is included in the carrying amount of the assets when it is probable that future economic benefits in excess of the most recently assessed standard of performance of the existing assets will flow to the company and the renovation replaces an identifiable part of the asset. Major renovations are depreciated during the remaining useful life of the related asset.





3.2.5. De-recognition

Property, plant and equipment are derecognized on disposal or when no future economic benefits are expected from its use. Any gain or loss arising on de-recognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is recognised in 'Other operating income' in the statement of profit or loss in the year the asset is de-recognized.

3.2.6. Depreciation

Depreciation is recognized in the statement of profit or loss on a straight-line basis over the estimated useful lives of each part of an item of property, plant and equipment since this method most closely reflects the expected pattern of consumption of the future economic benefits embodied in the asset.

The estimated useful lives are as follows;

Building	8 years
Plant	8 years
Furniture and fittings	6 years
Office equipment	6 years
Motor vehicles	4 years
Computer hardware	6 years

The depreciation rates are determined separately for each significant part of an item of property, plant and equipment and commences to depreciate when it is available for use, i.e. when it is in the location and condition necessary for it to be capable of operating in the manner intended by the management. Depreciation methods, useful lives and residual values are re-assessed at each reporting date and adjusted, if appropriate.

3.3. Intangible assets

The company's intangible assets include the value of computer software.

3.3.1. Basis of recognition

An intangible asset is recognised only when its cost can be measured reliably and it is probable that the expected future economic benefits that are attributable to it will flow to the company in accordance with the Sri Lanka Accounting Standard- LKAS 38 on 'Intangible Assets'.

Intangible assets acquired separately are measured on initial recognition at cost. Following initial recognition, intangible assets are stated in the statement of financial position at cost less any accumulated amortisation and any accumulated impairment losses, if any.

3.3.2. Subsequent expenditure

Subsequent expenditure on intangible assets is capitalized only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure is expensed as incurred.

3.3.3. Useful economic lives, amortization and impairment

Intangible assets with finite lives are amortized over the useful economic life. The amortization period and the amortization method for an intangible asset with a finite useful life are reviewed at least at each reporting date. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset are accounted for by changing the amortization period or method, as appropriate, and they are treated as changes in accounting estimates. The amortization expense on intangible assets with finite lives is recognised in the statement of profit or loss in the expense category consistent with the function of the intangible asset.

Amortization is calculated using the straight- line method to write down the cost of intangible assets to their residual values over their estimated useful economic lives at the rates as specified below;

Computer software - 8 years

3.3.4. De-recognition

Intangible assets are de-recognised on disposal or when no future economic benefits are expected from its use. Any gain or loss arising on de-recognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is recognised in the profit or loss in the year the asset is derecognised.

3.4 Investment property

Investment property is property held either to earn rental income or for capital appreciation or for both, but not for sale in the ordinary course of business, use in the production or supply of goods or services or for administrative purposes.

Investment properties are initially recognised at cost. Subsequent to initial recognition, the investment properties are stated at cost.

3.4.1 De-recognition

Investment properties are de-recognised when either they have been disposed of or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal. Any gains or losses on the retirement or disposal of an investment property are recognised in the statement of profit or loss in the year of retirement or disposal.

3.4.2 Subsequent transfers to/from investment property

Transfers are made to investment property when, and only when, there is a change in use, evidenced by the end of owner occupation, commencement of an operating lease to another party or completion of construction or development.

Transfers are made from investment property when, and only when, there is a change in use, evidenced by commencement of owner occupation or commencement of development with a view to sale.

For a transfer from investment property to owner occupied property or inventories, the deemed cost of property for subsequent accounting is its fair value at the date of change in use. If the property occupied by the company as an owner occupied property becomes an investment property, the company accounts for such property in accordance with the policy stated under property, plant and equipment up to the date of change in use.

For a transfer from inventories to investment property, any difference between the fair value of the property at that date and its previous carrying amount is recognised in the statement of profit or loss. When the company completes the construction or development of a self-constructed investment property, any difference between the fair value of the property at that date and its previous carrying amount is recognised in the statement of profit or loss.



3.5 Impairment of non-financial assets

The carrying amounts of the company's non-financial assets, other than deferred tax assets are reviewed at each reporting date to assess whether there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing of an asset is required, the company estimates the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or cash generating unit's fair value less costs to sell and its value in use. Where the carrying amount of an asset or cash - generating unit exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and risks specific to the asset. In determining fair value less costs to sell, an appropriate valuation model is used. These calculations are corroborated by valuation multiples, quoted share price for publicly traded subsidiaries or other available fair value indicators.

3.6 Deferred tax assets

Deferred tax is provided on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes at the reporting date. Deferred tax liabilities are recognised for all taxable temporary differences. Deferred tax assets are recognised for all deductible temporary differences, the carry forward of unused tax credits and any unused tax losses. Deferred tax assets are recognised to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry forward of unused tax credits and unused tax losses can be utilized.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax assets to be utilized.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the asset is realized or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

Deferred tax assets and deferred tax liabilities are offset if a legally enforceable right exists to set off current tax assets against current income tax liabilities and the deferred taxes relate to the same taxable entity and the same taxation authority.

3.7 Real estate inventories

Real estate inventories represent the purchase value of properties acquired for re-sale. Carrying value of the real estate stocks as at the reporting date represents the purchase value of properties and any subsequent expenditure incurred on developing of such properties.

3.8 Fiduciary assets

The company provides trust and other fiduciary services that result in the holding or investing of assets on behalf of its clients. Assets held in a fiduciary capacity are not reported in these financial statements as they do not belong to the company.



SIGNIFICANT ACCOUNTING POLICIES TO THE FINANCIAL STATEMENTS

3.9 Other assets

The company classifies all its other assets as other assets and other non-financial assets. Other assets mainly comprise advance payments, VAT receivable and sundry receivables. Advance payments are carried at historical cost.

3.10 Provisions

Provisions are recognized in the statement of financial position when the company has a present obligation (legal or constructive) as a result of a past event, and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation in accordance with the Sri Lanka Accounting Standard - LKAS 37 on 'Provision, Contingent Liabilities and Contingent Assets'. The amount recognized is the best estimate of the consideration required to settle the present obligation at the reporting date, taking into account the risks and uncertainties surrounding the obligation at that date. The expense relating to any provision is presented in the statement of profit or loss net of any reimbursement.

3.11 Leasing

The determination of whether an arrangement is a lease or it contains a lease, is based on the substance of the arrangement and requires an assessment of whether the fulfilment of the arrangement is dependent on the use of a specific asset or assets and the arrangement conveys a right to use the asset.

3.11.1 Company as a lessor

Leases where the company does not transfer substantially all of the risks and benefits of ownership of the assets are classified as operating leases. Initial direct costs incurred in negotiating operating leases are added to the carrying amount of the leased asset and recognised over the lease term on the same basis as rental income. Contingent rents are recognized as revenue in the period in which they are earned.

3.12 Other liabilities

Other liabilities include related party payables, VAT on Financial Services payable, retirement benefit obligation and other amount payable. These liabilities are recorded at amounts expected to be payable at the reporting date.

Value Added Tax (VAT) on Financial Services

Value Added Tax (VAT) on Financial Services is calculated in accordance with Value Added Tax Act No. 14 of 2002 and subsequent amendments thereto. The base for Value Added Tax computation of Value added tax on financial services is the accounting profit before VAT and income tax adjusted for the economic depreciation and emoluments of employees computed on prescribed rates.

3.13 Retirement benefit obligation

The company measures the present value of the promised retirement benefits for gratuity, which is a defined benefit plan with the advice of an independent professional actuary using the 'Projected Unit Credit method' (PUC) as required by the Sri Lanka Accounting Standard- LKAS 19 on 'Employee Benefits'.



3.13.1 Recognition of actuarial gains and losses

The company recognizes the total actuarial gains and losses that arise in calculating the company's obligation in respect of the plan in other comprehensive income during the period in which it occurs.

3.13.2 Funding arrangements

The gratuity liability is not externally funded.

3.13.3 Defined contribution plans -Employees' Provident Fund

The company and employees contribute to the Employees' Provident Fund managed by the Central Bank of Sri Lanka at 12% and 8% respectively on the gross salary of each employee.

Defined contribution plans -Employees' Trust Fund

The company contributes to the Employees' Trust Fund at 3% on the gross salary of each employee.

3.14 Dividends payable

Dividends on ordinary shares are recognized as a liability and deducted from equity when they are recommended by and declared by the Board of Directors and approved by the shareholders. Interim dividends are deducted from equity when they are declared and no longer at the discretion of the company. Dividends for the year that are approved after the reporting date are disclosed as an event after the reporting date in accordance with the Sri Lanka Accounting Standard- LKAS 10 on 'Events after the Reporting period'. Withholding Tax on Dividends, distributed by the company are recognized at the time the liability to pay the related dividend is recognized.

3.15 Income

Income is recognized to the extent that it is probable that the economic benefits will flow to the company and revenue can be reliably measured. The specific recognition criteria, for each type of gross income, are as follows;

3.15.1 Net interest income

3.15.1.1 Interest income and interest expense

Interest income and expense are recognised in the Income Statement using the effective interest rate (EIR) method.

As per SLFRS 9, the interest income and expense presented in the Income Statement include:

- Interest on financial assets measured at amortised cost calculated using EIR method;
- Interest on financial liabilities measured at amortised cost calculated using EIR method.

As per LKAS 39, the interest income and expense recognised in the Income Statement included:

- Interest on loans and receivables calculated using EIR method;
- Interest on financial liabilities measured at amortised cost calculated using EIR method.

Effective Interest Rate (EIR)

The EIR is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument to:



- the gross carrying amount of the financial asset; or
- the amortised cost of the financial liability.

When calculating the EIR for financial instruments other than credit-impaired assets, the company estimates future cash flows considering all contractual terms of the financial instrument, but not expected credit losses (ECLs). For credit-impaired financial assets which are classified under Stage 3, a credit-adjusted EIR is calculated using estimated future cash flows including ECLs. The credit-adjusted EIR is the interest rate that, at original recognition, discounts the estimated future cash flows (including credit losses) to the amortised cost.

The calculation of the EIR includes transaction costs and fees and points paid or received that are an integral part of the EIR.

For financial assets that were credit-impaired on initial recognition, interest income is calculated by applying the credit-adjusted EIR to the amortised cost of the asset. The calculation of interest income does not revert to a gross basis, even if the credit risk of the asset improves.

3.15.2 Net trading gain/loss on held for trading securities

Results arising from trading activities include all gains and losses from changes in fair value for financial assets 'held for trading'.

3.15.3 Net Fee and Commission Income

Fee and commission income is earned from a diverse range of services provided by the company to its customers. Fees and commission income is accounted for as follows:

- Income earned on the execution of a significant act is recognised as revenue when the act is completed and
- Income earned from the provision of services is recognised as revenue as the services are provided.

3.15.4 Other operating income

Other operating income includes gains on property, plant and equipment, hiring income, rent income, dividend income and capital gains / (losses).

3.15.4.1 Dividend income

Dividend income is recognized when the company's right to receive the income is established.

3.15.4.2 Gain or losses on disposal of property plant and equipment, Investment property and real estates.

Gains or losses resulting from the disposal of property, plant and equipment, investment properties and real estates are accounted for on cash basis in the statement of profit or loss, in the period in which the sale occurs.

3.15.4.3 Other Income

Other income is recognized on an accrual basis.





3.16 Personnel expenses

Personnel expenses include salaries and bonus, terminal benefit charges and other related expenses. The provision for bonus is recognized when it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made on the amount of the obligation.

Employees are eligible for Employees' Provident Fund (EPF) contributions and Employees' Trust Fund (ETF) contributions in accordance with the respective statutes and regulations.

3.17 General and administrative expense

General and administration expenses are recognized in the statement of profit or loss on the basis of a direct association between the cost incurred and the earning of specific items of income. All expenditure incurred in the running of the business and in maintaining the property, plant and equipment in a state of efficiency have been charged to the statement of profit or loss in arriving at the profit for the year.

3.18 Income tax expense

Current tax

Current tax assets and liabilities for the current and prior years are measured at the amount expected to be recovered from, or paid, to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted by the reporting date.

Accordingly, provision for taxation is based on the profit for the year adjusted for taxation purposes in accordance with the provisions of the Inland Revenue Act No. 24 of 2017 and the amendments thereto at the rate of 28%.

3.19 Earnings Per Share (EPS) - basic

Basic earnings per share is calculated by dividing the net profit for the year attributable to equity holders of the company by the weighted average number of ordinary shares outstanding during the year, as per LKAS 33 - Earnings per share.

3.20 Contingent liabilities and commitments

Contingent liabilities are possible obligations whose existence will be confirmed only by uncertain future events or present obligations where the transfer of economic benefit is not probable or cannot be readily measured as defined in the Sri Lanka Accounting Standard- LKAS 37 on 'Provisions, Contingent Liabilities and Contingent Assets'. Contingent Liabilities are not recognized in the statement of financial position but are disclosed unless its occurrence is remote.

Details of the commitments and contingencies are given in note 33 to the financial statements.

3.21 Events after the reporting period

Events after the reporting period are those events, favourable and unfavourable, that occur between the reporting date and the date when the Financial Statements are authorised for issue.

In this regard, all material and important events that occurred after the reporting period have been considered and appropriate disclosures are made in the financial statements, where necessary.

SIGNIFICANT ACCOUNTING POLICIES TO THE FINANCIAL STATEMENTS

3.22 Statement of cash flows

The statement of cash flows has been prepared by using 'The Indirect Method' in accordance with the Sri Lanka Accounting Standard - 'LKAS 7' - 'Statement of Cash Flows', whereby gross cash receipts and gross cash payments of operating activities, financing activities and investing activities have been recognized. Cash and cash equivalents mainly comprise cash in hand, balances at banks and bank overdrafts.

3.23 Segment reporting

An operating segment is a component of the company that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the company's other components. All operating segments' operating results are reviewed regularly by the senior management to make decisions about resources to be allocated to the segment and assess its performance, and for which discrete financial information is available.

Segment results that are reported to the senior management personnel and the Board of Directors include items directly attributable to a segment as well as those that can be allocated on a reasonable basis.

The relevant disclosures are given in note 38 to the financial statements.

3.24 Fair value measurement

"Fair value" is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date in the principal or, in its absence, the most advantageous market to which the company has access at that date. The fair value of a liability reflects its non-performance risk.

When one is available, the company measures the fair value of an instrument using the quoted price in an active market for that instrument. A market is regarded as active if transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis.

If there is no quoted pricing in an active market, then the company uses valuation techniques that maximise the use of relevant observable inputs and minimise the use of unobservable inputs. The chosen valuation technique incorporates all of the factors that market participants would take into account in pricing a transaction.

The fair value of an asset or a liability is measured using the assumptions that market participants would use the fair value hierarchy when pricing the asset or liability, assuming that market participants act in their economic best interest.

The company recognises transfers between levels of the fair value hierarchy as of the end of the reporting period during which the change has occurred.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

An analysis of fair value measurement of financial and non-financial assets and liabilities is provided in note 37 to the financial statements.



4. TRANSITION DISCLOSURES

When adopting the SLFRS 09 the company has applied modified retrospective method in preparing the annual financial statements for the year ended 31st March 2019. Accordingly, comparative information for the year 2018/19 has not been restated for financial instruments within the scope of SLFRS 09. The comparative information for 2018/19 is reported under LKAS 39 for the relevant balances.

The impact of adopting SLFRS 09 at transition date, i.e. 01 April 2018 has been adjusted to the opening retained earnings for the year 2018 /2019 and the below note presents the impact on the financial assets and liabilities as at 01st April 2018.

Description	Note	LKAS 39 measurement as at 31st March 2018		Re-classification	Re-measurement ECL Rs.	SLFRS 9 measurement as at 1st April 2018	
		Category	Rs.			Rs.	Rs.
Financial Assets							
Cash and cash equivalents		L & R	660,159,119	-	-	660,159,119	AC
Investment in reverse repurchase agreements against the treasury bills and bonds		L & R	622,975,267	-	-	622,975,267	AC
Financial assets at amortized cost - Loans and advances		L & R	7,247,899,368	-	(318,600,059)	6,929,299,309	AC
Financial assets at amortized cost - Lease rentals receivable and hire purchase		L & R	2,280,489,222	-	(39,193,817)	2,241,295,405	AC
Other financial assets at amortized cost		L & R	207,244,747	-	-	207,244,747	AC
Financial assets - held for trading		FVTPL	213,734	-	-	213,734	FVTPL
Financial assets - available for sale	A*	AFS	506,659	(506,659)	-	-	
To: Financial assets - Fair Value Through Other Comprehensive Income			-	506,659	-	506,659	FVOCI
Total Financial Assets			11,019,488,116	-	(357,793,876)	10,661,694,240	
Financial Liabilities							
Financial Liabilities at amortized cost - Due to banks		AC	454,920,306	-	-	454,920,306	AC
Financial Liabilities at amortized cost - Other borrowed funds		AC	3,001,078,792	-	-	3,001,078,792	AC
Financial Liabilities at amortized cost -Due to customers		AC	6,356,067,246	-	-	6,356,067,246	AC
Total Financial Liabilities			9,812,066,344	-	-	9,812,066,344	

L&R - Loans and receivables, AFS - Available for Sale, AC - Amortised cost, FVTPL - Fair Value Through Profit or loss, FVOCI - Fair Value Through Other Comprehensive Income, ECL - Expected Credit Loss.

A* Unquoted securities previously classified under available for sale category have been reclassified as financial assets at fair value through other comprehensive income (FVOCI).

4.1 Impact of transition to SLFRS 9 on retained earnings	Rs.
Closing balance under LKAS 39 as at 31st March 2018 (A)	401,610,081
Recognition of SLFRS 09 ECLs	(357,793,876)
Deferred tax in relation to ECL	100,182,286
Opening balance under SLFRS 09 as at 01st April 2018 (B)	143,998,491
Impact of adoption of SLFRS 9 on retained earnings (C = B - A)	(257,611,590)

4.2 Impact of transition to SLFRS 9 on impairment allowance for loans and receivables as per LKAS 39 as at 31st March 2018	Loans and advances	Lease rentals receivable and hire purchases	Total
	Rs.	Rs.	Rs.
	474,803,458	101,700,315	576,503,773
	318,600,059	39,193,817	357,793,876
Remeasurement as per SLFRS - 09			
ECLs under SLFRS 9 as at 01st April 2018	793,403,517	140,894,132	934,297,649



	2018/2019 Rs.	2017/2018 Rs.
5. INTEREST INCOME		
Interest on leases	892,924,491	407,178,686
Interest on hire purchase	4,536,076	10,472,832
Interest on loans	1,178,059,100	1,551,867,817
Overdue interest	73,337,230	54,038,307
Interest on treasury bills in reverse repurchase agreements	63,800,295	63,145,461
Interest on bank deposits	24,041,600	41,253,178
Interest on commercial papers	6,234,305	28,949,821
Interest on gold loans	479,727,848	286,483,298
	<u>2,722,660,945</u>	<u>2,443,389,400</u>

5.1 Notional tax credit on government securities on secondary market transactions

The Inland Revenue Act No.10 of 2006, provides that a company which derives interest income from the secondary market transactions in Government Securities (on or after April 1, 2002) would be entitled to a notional tax credit (being one ninth of the net interest income) provided such interest income forms part of the statutory income of the company for that year of assessment.

However, as per the provision of the Inland Revenue Act No. 24 of 2017 effective from April 1, 2018, interest income from Government Securities are excluded from withholding tax. Hence, notional tax credit hitherto claimed by the company was discontinued from April 1, 2018 with implementation of Inland Revenue Act No. 24 of 2017.

	2018/2019 Rs.	2017/2018 Rs.
6. INTEREST EXPENSES		
Interest on fixed deposits	849,927,396	839,457,158
Interest on other borrowings	583,438,948	393,757,139
	<u>1,433,366,344</u>	<u>1,233,214,297</u>
7. OTHER OPERATING INCOME		
Documentation charges and service charges	85,754,098	74,992,803
Gains from disposal of property, plant and equipment, investment property and real estate inventories	2,928,298	5,035,502
Profit on settled contracts	35,561,373	36,107,333
Dividend income	211,164	190,436
Operating lease income	1,576,271	1,806,600
Rent income	-	5,830
Insurance commission income	15,944,120	8,073,030
Sundry income	4,050,012	2,516,332
Cheque discounting administration income	41,433	250,704
Money gram income	38,264	29,005
	<u>146,105,033</u>	<u>129,007,575</u>
8. IMPAIRMENT CHARGE FOR LEASE RENTALS RECEIVABLE, HIRE PURCHASE LOANS AND ADVANCES		
Lease rentals receivable and hire purchase	96,535,222	77,111,084
Loans and advances	261,085,575	256,285,522
	<u>357,620,797</u>	<u>333,396,606</u>
9. OPERATING PROFIT BEFORE INCOME TAX		

Stated after charging all expenses including the following :

Included in personnel cost,

Directors' remuneration

Salaries and bonus

Defined contribution plan costs - EPF and ETF

Other staff related expenses

Included in general and administration expenses,

Depreciation and amortization

Auditors' remuneration - external audit current year

- Non-audit

Advertising and business promotion

Professional and legal fees

16,087,000	22,187,002
171,826,518	159,580,750
26,013,538	21,802,657
66,869,834	60,895,063
51,006,612	45,161,382
1,679,000	1,452,000
739,599	243,371
16,409,671	14,815,893
12,788,275	7,452,336



	2018/2019 Rs.	2017/2018 Rs.
10. INCOME TAX EXPENSES		
Major components of income tax expense for the year ended 31st March are as follows:		
Statement of profit or loss		
Current income tax (note 10.1)		
Current income tax charge	-	32,734,076
Under/(over) provision of current taxes in respect of prior years	29,765,346	6,787,842
Deferred tax		
Deferred taxation	(36,788,125)	4,392,624
Income tax expense reported in the profit or loss	(7,022,779)	43,914,542
Statement of other comprehensive income		
Deferred tax		
Deferred taxation reversal/(expense)	201,400	995,371
Income tax expenses reported in the other comprehensive income	201,400	995,371
10.1 Reconciliation of accounting profit and taxable income		
Accounting profit (profit before income tax)	93,907,039	222,139,969
Add : Disallowable expenses	903,780,377	469,399,119
Less : Allowable expenses	(1,447,288,260)	(461,286,898)
Less : Exempt income	(2,210,560)	(34,175,759)
Add : Adjusted business loss/(profit) from leasing business	1,925,358	(16,218,871)
Statutory income / (loss)	(449,886,046)	179,857,560
Tax loss brought forward and utilized	-	(62,950,146)
Taxable income / (loss)	(449,886,046)	116,907,414
Income tax expense	-	32,734,076
Effective income tax rate	0%	15%
10.2 Deferred tax assets		
Balance as at 01st April	112,814,714	118,202,709
Deferred tax on transitional adjustments	100,182,286	-
Balance as at 01st April 2018	212,997,000	118,202,709
Charge / reversal for the year		
Statement of profit or loss	36,788,125	(4,392,624)
Statement of other comprehensive income	(201,400)	(995,371)
Balance as at 31st March 2019	249,583,725	112,814,714
10.3 Deferred tax assets and liabilities relate to the following:		
	Statement of financial position	
	2018/2019 Rs.	2017/2018 Rs.
Deferred tax liability		
Lease rental receivable	66,101,305	69,629,663
Property, plant and equipment	(25,174,546)	(27,832,660)
	40,926,759	41,797,003
Deferred tax assets		
Retirement benefit obligation	6,184,778	5,612,598
Tax loss *	171,428,281	51,022,531
Provision for impairment of loans and receivables	31,043,907	14,382,582
	208,656,966	71,017,711
Net deferred tax asset	249,583,725	112,814,714



10. INCOME TAX EXPENSES (CONTD.)

Deferred tax has been determined based on the effective tax rate of 28%.

* As of 31st March, 2019, the company has a tax loss amounting to Rs.808,073,451/- (2018 - Rs.382,313,754/-) which is available for 5 years for offsetting against future Statutory Income of the company in each year of assessment. A deferred tax asset has been recognized upto a tax loss of Rs.612,149,401/- (2018- Rs.182,223,326/-) which has arisen from Leasing and Non Finance Leasing Business. However, deferred tax assets have not been recognized for the tax losses amounting to Rs.195,924,051/- arising from Non Finance Leasing Business as at 31st March 2019.

The carrying amount of deferred tax assets is reviewed by the management at each reporting date and recognized to the extent of probable taxable profits in 5 years time as recommended by IR Act No. 24, 2017

11. CLASSIFICATION OF FINANCIAL ASSETS AND FINANCIAL LIABILITIES

11.1 AS AT 31ST MARCH, 2019

Assets	FYTOCI Rs.	FVTPL Rs.	Amortized Cost Rs.	Total Rs.
Cash and cash equivalents	-	-	643,777,198	643,777,198
Investment in reverse repurchase agreements against the treasury bills and bonds at amortized cost	-	-	691,744,740	691,744,740
Financial assets - fair value through profit and loss	+	125	-	125
Loans and advances at amortized cost	+	-	7,453,374,463	7,453,374,463
Lease rentals receivable and hire purchase at amortized cost	-	-	4,102,651,935	4,102,651,935
Financial assets - fair value through OCI	506,659	-	-	506,659
Total financial assets	506,659	125	12,891,548,336	12,892,055,120
Liabilities			Financial liabilities at amortized cost Rs.	Total Rs.
Due to customers			6,617,344,955	6,617,344,955
Due to banks			131,273,907	131,273,907
Other borrowed funds			4,958,735,615	4,958,735,615
Total financial liabilities			11,707,354,477	11,707,354,477

11.2 As at 31st March, 2018

Assets	AFS Rs.	FVTPL Rs.	L&R Rs.	Total Rs.
Cash and cash equivalents	-	-	660,159,119	660,159,119
Investment in reverse repurchase agreements against treasury bills and bonds	-	-	622,975,267	622,975,267
Other financial assets	-	-	207,244,747	207,244,747
Financial assets - fair value through profit and loss	-	213,734	-	213,734
Loans and advances at amortized cost	-	-	7,247,899,368	7,247,899,368
Lease rentals receivable and hire purchase at amortized cost	-	-	2,280,489,222	2,280,489,222
Financial assets - fair value through OCI	506,659	-	-	506,659
Total financial assets	506,659	213,734	11,018,767,723	11,019,488,116
Financial liabilities			Financial liabilities at amortized cost Rs.	Total Rs.
Due to customers			6,356,067,246	6,356,067,246
Due to banks			454,920,306	454,920,306
Other borrowed funds			3,001,078,792	3,001,078,792
Total financial liabilities			9,812,066,344	9,812,066,344

FYTOCI - Fair value through other comprehensive income

FVTPL - Fair value through profit or loss

AFS - Available for Sale



	31.03.2019 Rs.	31.03.2018 Rs.
12. CASH AND CASH EQUIVALENTS		
Cash in hand	5,221,399	84,970,208
Cheque in hand	30,000	-
Cash at banks	638,525,799	575,188,911
	<u>643,777,198</u>	<u>660,159,119</u>
13. INVESTMENT IN REVERSE REPURCHASE AGREEMENTS AGAINST TREASURY BILLS AND BONDS		
Reverse repurchase agreements against treasury bills and bonds	691,744,740	622,975,267
	<u>691,744,740</u>	<u>622,975,267</u>
14. OTHER FINANCIAL ASSETS		
Commercial Papers	-	207,244,747
	<u>-</u>	<u>207,244,747</u>
15. FINANCIAL ASSETS-FAIR VALUE THROUGH PROFIT AND LOSS		
Quoted equity securities (note 15.1)	125	213,734
	<u>125</u>	<u>213,734</u>

15.1 Quoted equity securities

	31.03.2019		31.03.2018	
	Number of shares	Market value Rs.	Number of shares	Market value Rs.
Bank finance and insurance				
Commercial Bank of Ceylon PLC (Voting)	-	-	710	96,418
Abans Finance PLC	-	-	50	1,065
Alliance Finance Company PLC	-	-	666	43,756
Associated Motor Finance Company PLC	-	-	50	20,000
Arpico Finance Company PLC	-	-	50	7,150
Bimputhi Finance PLC	-	-	100	4,450
Colombo Trust Finance PLC	-	-	50	1,250
Citizens Development Business Finance PLC	-	-	50	4,245
Central Finance Company PLC	-	-	103	10,290
Central Investments and Finance PLC	50	40	50	40
Commercial Leasing and Finance PLC	-	-	50	135
Commercial Credit and Finance PLC	-	-	50	2,155
Softlogic Finance PLC	-	-	50	1,750
Nation Lanka Finance PLC	-	-	50	50
Summit Finance PLC	-	-	50	1,145
LB Finance PLC	-	-	100	11,890
Lanka Orix Leasing Company PLC	-	-	50	195
Merchant Bank of Sri Lanka & Finance PLC	-	-	50	650
Multi Finance PLC	-	-	50	690
Peoples Leasing Company PLC	-	-	50	790
People's Merchant Finance PLC	-	-	50	550
Singer Finance Lanka PLC	-	-	50	770
Sinhaputhra Finance PLC	-	-	50	600
Swarnamahal Finance PLC	50	85	50	120
The Finance Company PLC	-	-	50	230
Vallibel Finance PLC	-	-	50	3,350
Total	100	125	2,729	213,734

		31.03.2019 Rs.	31.03.2018 Rs.
16.	FINANCIAL ASSETS AT AMORTISED COST - LOANS AND ADVANCES		
		Note	
	Gross loans and advances	8,293,241,005	7,722,702,826
	Stage 1	6,128,718,981	-
	Stage 2	313,400,161	-
	Stage 3	1,851,121,863	-
	Less: Provision for impairment	839,866,542	474,803,458
	Stage 1	16.2.1. 179,587,839	-
	Stage 2	16.2.2. 32,390,823	-
	Stage 3	16.2.3. 627,887,880	-
	Provision for individual impairment	16.3.1. -	139,156,081
	Provision for collective impairment	16.3.2. -	335,647,377
	Net loans and advances	7,453,374,463	7,247,899,368
16.1	Loans and advances - Analysis by product		
	Mortgage loans	1,069,343,238	414,210,707
	Pledge loans	488,631,357	388,141,349
	Personal and corporate loans	1,994,581,447	2,430,573,313
	Group personal loans	795,018,850	924,703,569
	Cheque and invoice discounting	11,778,093	49,648,832
	Micro finance loans	1,115,196,074	1,640,927,931
	Sale and lease back loans	1,000,001	1,000,001
	Project financing loan	115,052,685	116,140,599
	Gold loan	2,702,639,260	1,757,356,525
		8,293,241,005	7,722,702,826
16.2	Movement in provision for impairment during the year (Under SLFRS 9)		
16.2.1	Movement in stage 1 impairment		
	Balance as at 01/04/2018	268,645,258	-
	Charge/(write back) to the income statement	(89,057,419)	-
	Balance as at 31/03/2019	179,587,839	-
16.2.2	Movement in stage 2 impairment		
	Balance as at 01/04/2018	23,152,385	-
	Charge/(write back) to the income statement	9,238,438	-
	Balance as at 31/03/2019	32,390,823	-
16.2.3	Movement in stage 3 impairment		
	Balance as at 01/04/2018	501,605,874	-
	Charge/(write back) to the income statement	340,904,556	-
	Write-off during the year	(241,828,600)	-
	Interest accrued/(reversals) on impaired loans and advances	27,206,050	-
	Balance as at 31/03/2019	627,887,880	-
16.2.4	Movement in total impairment		
	Balance as at 01/04/2018	793,403,517	-
	Charge/(write back) to the Income Statement	261,085,575	-
	Write - off during the year	(241,828,600)	-
	Interest accrued/(reversals) on impaired loans and advances	27,206,050	-
	Balance as at 31/03/2019	839,866,542	-

		31.03.2019 Rs.	31.03.2018 Rs.
16.	FINANCIAL ASSETS AT AMORTISED COST - LOANS AND ADVANCES (CONTD..)		
16.3	Movement in provision for individual and collective impairment during the year (Under LKAS 39)		
16.3.1	Movement in provision for individual impairment		
	Balance as at 01/04/2018	-	46,650,042
	Charge/(write back) to the income statement	-	92,506,039
	Balance as at 31/03/2019	-	139,156,081
16.3.2	Movement in provision for collective impairment		
	Balance as at 01/04/2018	-	232,000,217
	Charge/(write back) to the income statement	-	163,779,483
	Write-off during the year	-	(60,132,323)
	Balance as at 31/03/2019	-	335,647,377
	Total of individual and collective impairment	-	474,803,458
			31.03.2019 Rs.
16.4	Impairment charge to the income statement		
	Loans and advances to customers		
	Stage 1		(89,057,419)
	Stage 2		9,238,438
	Stage 3		340,904,556
	Total		261,085,575
		31.03.2019 Rs.	31.03.2018 Rs.
17.	FINANCIAL ASSETS AT AMORTISED COST - LEASE RENTALS RECEIVABLE AND HIRE PURCHASE		
	Gross lease rental receivables and hire purchase	4,275,258,850	2,382,189,537
	Stage 1	3,542,416,480	-
	Stage 2	300,427,914	-
	Stage 3	432,414,456	-
	Less: Provision for impairment	172,606,915	101,700,315
	Stage 1	17.2.1 87,045,635	-
	Stage 2	17.2.2 11,147,399	-
	Stage 3	17.2.3 74,413,881	-
	Provision for collective impairment	17.3.1 -	101,700,315
	Net lease rentals receivable and hire purchase	4,102,651,935	2,280,489,222
17.1	Lease rentals receivable and hire purchase		
	Lease rentals receivables	17.1.1 4,098,865,738	2,221,631,846
	Hire purchases	17.1.2 3,786,197	58,857,376
		4,102,651,935	2,280,489,222
17.1.1	Lease rentals receivables		
	Gross rentals receivable	5,403,750,521	2,920,094,868
	Less: Unearned income	(1,467,688,554)	(780,478,847)
	Pre-paid rentals	(2,377,814)	(2,179,100)
	Lease capitalized charges	308,172,497	153,305,821
	Allowance for impairment losses	(142,990,912)	(69,110,896)
		4,098,865,738	2,221,631,846
17.1.2	Hire purchase receivables		
	Gross rentals receivable	35,480,499	94,356,345
	Less: Unearned income	(179,089)	(1,635,921)
	Pre-paid rentals	(1,899,210)	(1,273,629)
	Allowance for impairment losses	(29,616,003)	(32,589,419)
		3,786,197	58,857,376
17.2	Movement in provision for impairment during the year (Under SLFRS 9)		
17.2.1	Movement in stage 1 impairment		
	Balance as at 01/04/2018	39,968,500	-
	Charge/(write back) to the income statement	47,077,135	-
	Balance as at 31/03/2019	87,045,635	-



	31.03.2019 Rs.	31.03.2018 Rs.
17. FINANCIAL ASSETS AT AMORTISED COST - LEASE RENTALS RECEIVABLE AND HIRE PURCHASE (CONTD....)		
17.2.2 Movement in stage 2 impairment		
Balance as at 01/04/2018	4,969,350	-
Charge/(write back) to the income statement	6,178,049	-
Balance as at 31/03/2019	11,147,399	-
17.2.3 Movement in stage 3 impairment		
Balance as at 01/04/2018	95,956,282	-
Charge/(write back) to the income statement	43,280,038	-
Write-off during the year	(61,770,351)	-
Interest accrued/(reversals) on impaired loans and advances	(3,052,088)	-
Balance as at 31/03/2019	74,413,881	-
17.2.4 Movement in total impairment		
Balance as at 01/04/2018	140,894,132	-
Charge/(write back) to the income statement	96,535,222	-
Write-off during the year	(61,770,351)	-
Interest accrued/(reversals) on impaired loans and advances	(3,052,088)	-
Balance as at 31/03/2019	172,606,915	-
17.2.5 Impairment charge to the income statement		31.03.2019 Rs.
Loans and advances to customers		
Stage 1		47,077,135
Stage 2		6,178,049
Stage 3		43,280,038
Total		96,535,222
	31.03.2019 Rs.	31.03.2018 Rs.
17.3 Movement in provision for individual and collective impairment during the year (Under LKAS 39)		
Movement in provision for collective impairment		
Balance as at 01/04/2018	-	118,297,778
Charge/(write back) to the income statement	-	77,111,084
Write-off during the year	-	(93,708,547)
Balance as at 31/03/2019	-	101,700,315
17.3.1 Age analysis of lease and hire purchase		
17.3.1.1 Lease and hire purchase receivable not later than 1 year		
Gross rentals receivable	462,502,951	1,505,132,868
Less: Unearned income	(45,992,688)	(459,789,951)
Pre-paid rentals	(4,277,025)	(3,452,729)
Lease capitalized charges	23,272,205	66,680,071
Allowance for impairment losses	(34,241,697)	(47,505,059)
	401,263,746	1,063,065,200
17.3.1.2 Lease and hire purchase receivable later than 1 year and not later than 5 years		
Gross rentals receivable	4,976,728,069	1,509,318,345
Less: Unearned income	(1,421,874,954)	(322,324,816)
Lease capitalized charges	284,900,292	84,625,750
Allowance for impairment losses	(138,365,218)	(54,195,257)
	3,701,388,189	1,217,424,022



	31.03.2019 Rs.	31.03.2018 Rs.
18. OTHER ASSETS		
Other receivables	16,511,803	15,587,389
	<u>16,511,803</u>	<u>15,587,389</u>
19. ADVANCES, DEPOSITS AND PREPAYMENTS		
Advances, deposits and prepayments	155,155,197	67,948,443

	31.03.2019		31.03.2018	
	Number of shares	Directors' valuation* Rs.	Number of shares	Directors' valuation* Rs.
20. FINANCIAL ASSETS - FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME				
Unquoted cumulative redeemable preference shares				
Platinum Reality Investment Limited	25,000	6,500,000	25,000	6,500,000
Less : Impairment charge		<u>(6,500,000)</u>		<u>(6,500,000)</u>
		-		-
Unquoted Ordinary shares				
Finance Houses Consortium (Private) Limited	45,000	200,000	45,000	200,000
Credit Information Bureau of SL (CRIB)	67	306,659	67	306,659
	<u>45,067</u>	<u>506,659</u>	<u>45,067</u>	<u>506,659</u>

*The Directors' valuation of non-quoted securities based on cost of investment less impairment amounts to Rs.506,659/- (2018 - Rs.506,659/-).

21. PROPERTY, PLANT AND EQUIPMENT

21.1 Gross carrying amounts

	Balance as at 01.04.2018 Rs.	Additions Rs.	Disposals/ transfers Rs.	Balance as at 31.03.2019 Rs.
Freehold assets				
Cost				
Plant	25,930,613	-	-	25,930,613
Motor vehicle	74,751,661	7,528,180	(12,754,731)	69,525,110
Office equipment	102,013,956	35,138,085	(2,808)	137,149,233
Computers	33,730,140	10,150,558	-	43,880,698
Furniture and fittings	19,846,910	4,476,699	-	24,323,609
	<u>256,273,280</u>	<u>57,293,522</u>	<u>(12,757,539)</u>	<u>300,809,263</u>

21.2 Accumulated depreciation

	Balance as at 01.04.2018 Rs.	Charge for the year Rs.	Disposals/ transfers Rs.	Balance as at 31.03.2019 Rs.
Plant	7,563,096	3,241,327	-	10,804,423
Motor vehicle	31,586,054	16,806,678	(11,840,581)	36,552,151
Office equipment	41,538,840	18,922,484	(2,168)	60,459,156
Computers	13,647,425	5,860,223	-	19,507,648
Furniture and fittings	11,900,082	2,905,223	-	14,805,305
	<u>106,235,497</u>	<u>47,735,925</u>	<u>(11,842,749)</u>	<u>142,128,683</u>

	31.03.2019 Rs.	31.03.2018 Rs.
Net Book value		
Plant	15,126,190	18,367,517
Motor vehicle	32,972,959	43,165,607
Office equipment	76,690,077	60,475,116
Computers	24,373,050	20,082,715
Furniture and fittings	9,518,304	7,946,828
	<u>158,680,580</u>	<u>150,037,783</u>



21. PROPERTY, PLANT AND EQUIPMENT (CONTD....)

21.3 During the financial year, the company acquired property, plant and equipment to the aggregate value of Rs.57,293,522/- (2018 -Rs.51,845,136/-). Cash payments amounting to Rs.57,169,292/- (2018 - Rs.51,718,268/-) was paid during the year for the purchases of property, plant and equipment.

21.4 Property, plant and equipment include fully depreciated assets having a gross carrying amount of Rs.27,299,574/- (2018- 17,872,226/-).

21.5 Temporarily idle property, plant and equipment

There were no property, plant and equipment idling as at 31st March, 2019 and 31st March, 2018.

21.6 Title restriction on property, plant and equipment

There was no restriction on the title of property, plant and equipment as at 31st March, 2019 and 31st March, 2018.

21.7 Property, plant and equipment pledged as security for liabilities

There were no items of property, plant and equipment pledged as securities for liabilities as at 31st March, 2019 and 31st March, 2018.

22. INVESTMENT PROPERTY

Balance at the beginning of the year

31.03.2019	31.03.2018
Rs.	Rs.

Acquisitions during the year

352,385,530	306,253,164
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Disposals during the year

57,813,300	63,652,592
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Balance at the end of the year

(16,380,317)	(17,520,226)
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393,818,513	352,385,530
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Fair value of the investment property for the purpose of disclosure in note 22.2 was ascertained by valuations carried out by independent valuers as required by LKAS 40.

22.1 The amounts recognized to profit or loss on investment property is as follows :

Direct expenses (including security charges and other utility charges)

31.03.2019	31.03.2018
Rs.	Rs.

2,101,123	1,118,874
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2,101,123	1,118,874
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22. INVESTMENT PROPERTY (CONTD..)

22.2 Fair value of the Investment property

Location of the land	Valuer's name and report date	Total extent	31.03.2019		31.03.2018	
			Fair value Rs.	Cost Rs.	Fair value Rs.	Cost Rs.
Lot 05, Dangahahena Land, Anamaduwa Road, Andigama.	D. Jayawardene (Incorporated Valuer) - valuation report dated 26th March, 2019.	39.04 P (0.09965 Ha)	12,000,000	1,250,000	9,650,000	1,250,000
No 25/20, Kalyani Mawatha, Mabola, Wattala.	D. Jayawardene (Incorporated Valuer) - valuation report dated 26th March, 2019.	26.93P	48,700,000	12,453,317	14,100,000	12,453,317
Lot no. 01 at Andilambalama, Kimbulapitiya.	D. Jayawardene (Incorporated Valuer) - valuation report dated 26th March, 2019.	14.00 P	4,900,000	3,500,000	5,600,000	3,500,000
Gonapola Land (No.358, Horana-Colombo Road, Kumbuka Gonapola).	D. Jayawardene (Incorporated Valuer) - valuation report dated 26th March, 2019.	02R-01.10 P (0.2051 Ha)	31,800,000	19,815,000	20,250,000	19,500,000
Manipay Land (No 55 Nachchimmar Kovil Road, Manipay).	V. Selvanayagam AIV (Incorporated Valuer) - valuation report dated 08th April, 2019.	10.50 Lms	13,000,000	9,000,000	10,000,000	9,000,000
No.21, 14th Lane, J. Jothipala Mawatha, Malabe.	D. Jayawardene (Incorporated Valuer) - valuation report dated 26th March, 2019.	10.00 P (0.0253 Ha)	16,200,000	12,865,866	14,500,000	12,865,866
Lot 1-46 Plan no:3393 at Tembiligaha, Pallegama, Gampola.	D. Jayawardene (Incorporated Valuer) - valuation report dated 26th March, 2019.	02A-02R-15 P	20,500,000	14,964,221	17,700,000	14,964,221
Lot no:1 In Plan no:5644 at Lenadora, Dambulla.	D. Jayawardene (Incorporated Valuer) - valuation report dated 26th March, 2019.	01A-02R-02.60 P (0.6122 Ha)	47,800,000	16,644,799	33,000,000	16,644,799
Oslo Furnitures Industries (Pvt) Ltd, Weligama, Maspotha, Kurunegala.	D. Jayawardene (Incorporated Valuer) - valuation report dated 26th March, 2019.	01R-35.00 P (0.1897 Ha)	52,500,000	46,344,684	59,000,000	46,137,684
Lot nos A,B,C,D,E & F in Plan no 4361 at Aramanapolla, Horana.	D. Jayawardene (Incorporated Valuer) - valuation report dated 03rd March, 2016.	02R-15.70 P (0.2420 Ha)	-	-	14,800,000	12,180,317



22. INVESTMENT PROPERTY (CONTD..)

22.2 Fair value of the investment property (contd...)

Location of the land	Valuer's name and report date	Total extent	31.03.2019		31.03.2018	
			Fair value Rs.	Cost Rs.	Fair value Rs.	Cost Rs.
Sandiyakalukuda & Mundalamakadu of Puttalam Rd, Mundslama.	D. Jayawardene (Incorporated Valuer) - valuation report dated 25th March, 2019.	05A-03R-30 P	50,400,000	35,000,000	68,000,000	35,000,000
Karukotttheevu, Thamputtai 02, Akkaraipattu.	D. Jayawardene (Incorporated Valuer) - valuation report dated 26th March, 2019.	10A-01R-00P (4.1602 Ha)	115,000,000	95,236,734	107,000,000	95,236,734
Galapitamilahena, Polarambegama, Kegalle.	D. Jayawardene (Incorporated Valuer) - valuation report dated 18th September, 2016.	6A-01R-00P (2.52928 Ha)	25,000,000	25,374,000	25,000,000	25,000,000
No:95, Mallattawela, Wellawaya	D. Jayawardene (Incorporated Valuer) - valuation report dated 20th July, 2015.	11.80 P (0.04346 Ha)	-	-	9,000,000	4,200,000
Lot No:153B in Plan no:4813/99 at Udangawa, Ambanpola.	D. Jayawardene (Incorporated Valuer) - valuation report dated 09th March, 2018.	10.00P (0.325 Ha)	13,000,000	12,103,871	13,000,000	11,584,871
Lot No:1 in Plan no:1520 & Lot no:1 in Plan no:1522, "EVERTON ESTATE", Pothupitiya Road, Rakwana	D. Jayawardene (Incorporated Valuer) - valuation report dated 26th March, 2019.	73A-03R- 17.50P	62,000,000	27,357,721	60,000,000	26,888,721
No:723/53, "Lake Terrace" Jayasinghe Mawatha, Korathota Road, Athurugiriya.	D. Jayawardene (Incorporated Valuer) - valuation report dated 27th March, 2018.	23.52 P	7,150,000	6,016,123	7,150,000	5,979,000
"Kopiwatta" Lot No:A, Plovatta Road, Minuwangoda.	D. Jayawardene (Incorporated Valuer) - valuation report dated 25th May, 2018.	01A-0R-01..49P (0.4085 Ha.)	54,000,000	55,892,177	-	-
			573,950,000	393,818,513	487,750,000	352,385,530



	Balance as at 01.04.2018 Rs.	Additions Rs.	Disposals/ transfers Rs.	Balance as at 31.03.2019 Rs.
23. INTANGIBLE ASSETS				
23.1 Gross carrying amounts				
Cost				
Intangible asset	24,091,881	5,506,856	-	29,598,737
	<u>24,091,881</u>	<u>5,506,856</u>	<u>-</u>	<u>29,598,737</u>
23.2 Amortization				
	Balance as at 01.04.2018 Rs.	Charge for the year Rs.	Disposals/ transfers Rs.	Balance as at 31.03.2019 Rs.
Intangible asset	15,284,450	3,270,677	-	18,555,127
	<u>15,284,450</u>	<u>3,270,677</u>	<u>-</u>	<u>18,555,127</u>
Net book value			31.03.2019 Rs.	31.03.2018 Rs.
Intangible asset			11,043,610	8,807,431
			<u>11,043,610</u>	<u>8,807,431</u>
24. DUE TO BANKS				
Due to banks- bank overdrafts			131,273,907	454,920,306
			<u>131,273,907</u>	<u>454,920,306</u>
25. OTHER LIABILITIES				
Accrued expenses and other payables			217,163,369	36,650,813
			<u>217,163,369</u>	<u>36,650,813</u>
26. CURRENT TAX LIABILITIES				
Balance at the beginning of the year			(362,927)	30,749,073
Income tax expense for the year			-	32,734,076
Under provision of previous year			29,765,346	6,787,842
			<u>29,402,419</u>	<u>70,270,991</u>
Income tax paid			(19,626,029)	(42,122,470)
Less: Tax credits			-	-
WHT and notional tax			(1,517,201)	(13,323,227)
ESC paid			(11,991,492)	(15,188,221)
Balance at the end of the year			<u>(3,732,303)</u>	<u>(362,927)</u>



	31.03.2019 Rs.	31.03.2018 Rs.
27. FINANCIAL LIABILITIES - OTHER BORROWED FUNDS		
Securitized borrowings	3,607,522,368	1,905,423,849
Bank loans	1,351,213,247	1,095,654,943
	<u>4,958,735,615</u>	<u>3,001,078,792</u>

27.1 Securitized borrowings

27.1.1 Securitized borrowings

	As at 01.04.2018 Rs.	Loans obtained Rs.	Interest for the period Rs.	Repayments Rs.	As at 31.03.2019 Rs.
Securitization Loan 03	48,827,276	-	910,823	(49,738,099)	-
Securitization Loan 07	117,957,287	-	8,670,160	(98,409,414)	28,218,033
Securitization Loan 08	22,272,561	-	501,483	(22,774,044)	-
Securitization Loan 11	367,055,956	-	9,867,120	(376,923,076)	-
Securitization Loan 12	352,748,257	-	33,266,450	(304,400,229)	81,614,478
Securitization Loan 13	277,769,885	-	14,537,809	(292,307,693)	1
Securitization Loan 14	313,020,568	-	22,612,596	(319,501,548)	16,131,616
Securitization Loan 15	149,843,123	-	16,900,521	(116,744,644)	49,999,000
Securitization Loan 16	255,928,936	141,430,836	40,280,558	(185,638,501)	252,001,829
Securitization Loan 17	-	761,550,000	94,966,052	(153,137,277)	703,378,775
Securitization Loan 18	-	300,000,000	23,304,075	(70,092,797)	253,211,278
Securitization Loan 19	-	500,000,000	34,499,479	(80,706,640)	453,792,839
Securitization Loan 20	-	399,693,097	27,422,670	-	427,115,767
Securitization Loan 21	-	299,697,900	14,977,823	-	314,675,723
Securitization Loan 22	-	600,000,000	22,264,150	-	622,264,150
Securitization Loan 23	-	400,000,000	5,118,879	-	405,118,879
	<u>1,905,423,849</u>	<u>3,402,371,833</u>	<u>370,100,648</u>	<u>(2,070,373,962)</u>	<u>3,607,522,368</u>

27.1.2 Bank loans

	As at 01.04.2018 Rs.	Loans obtained Rs.	Interest for the period Rs.	Repayments Rs.	As at 31.03.2019 Rs.
Sampath Bank loan 01	91,840,000	-	9,813,873	(59,733,873)	41,920,000
DFCC Vardhana Bank 01	99,999,992	-	11,299,451	(61,299,453)	49,999,990
DFCC Vardhana Bank 02	162,499,997	-	20,475,222	(70,475,226)	112,499,993
Central Finance Loan 01	37,046,880	-	2,123,616	(39,170,496)	-
Sampath Bank Loan 02	150,160,000	550,000,000	45,762,377	(497,311,266)	248,611,111
HNB Bank Loan 01	137,268,348	-	15,035,695	(82,296,888)	70,007,155
Nation Trust Bank Loan 01	166,550,000	-	20,952,563	(87,852,563)	99,650,000
DFCC Vardhana Bank 03	250,289,726	-	34,204,452	(81,369,180)	203,124,998
Sampath Bank Loan 03	-	200,000,000	6,739,507	(206,739,507)	-
HNB Bank Loan 02	-	300,000,000	26,625,764	(106,625,764)	220,000,000
Nation Trust Bank Loan 02	-	200,000,000	18,428,376	(63,028,376)	155,400,000
DFCC Vardhana Bank 04	-	150,000,000	60,000	(60,000)	150,000,000
	<u>1,095,654,943</u>	<u>1,400,000,000</u>	<u>211,520,896</u>	<u>(1,355,962,592)</u>	<u>1,351,213,247</u>

27.2 Loan details

Bank	Approved facility	Purpose	Term of the loan	Security	Security amount Rs.
BOC - Securitization loan 03	Rs.500 Mn	Working capital requirements	36 monthly instalments	Vehicle mortgage and group personal loan receivable	Nil
BOC - Securitization loan 07	Rs.200 Mn	Working capital requirements	36 monthly instalments	Lease and hire purchase receivables	Rs. 41.5 Mn
First Capital Trustee Services- Securitization loan 08	Rs.275 Mn	Working capital requirements	24 monthly instalments	Lease and group personal loan receivable	Nil
HNB - Securitization loan 11	Rs.423 Mn	Working capital requirements	15 monthly instalments	Micro receivable backed Loan Structure	Nil
HNB - Securitization loan 12	Rs.500 Mn	Working capital requirements	24 monthly instalments	Micro finance loan and group personal loan receivable	Rs. 107 Mn
HNB - Securitization loan 13	Rs.250 Mn	Working capital requirements	15 monthly instalments	Loans and receivables	Nil



27. OTHER BORROWED FUNDS (CONTD...)

27.2 Loan details (contd...)

Bank	Approved facility	Purpose	Term of the loan	Security	Security amount Rs.
People's Bank - Securitization loan 14	Rs.300 Mn	Working capital requirements	24 monthly instalments	Micro finance receivables	Rs. 22.1 Mn
First Capital Trustee Services - Securitization loan 15	Rs.200 Mn	Working capital requirements	24 monthly instalments	Group personal loan receivable	Rs. 68.6 Mn
People's Bank - Securitization loan 16	Rs .395.6 Mn	Working capital requirements	30 monthly instalments	Lease and hire purchase loan receivable	Rs.337.8 Mn
HNB - Securitization loan 17	Rs .761.5 Mn	Working capital requirements	24 monthly instalments	Micro finance & Group Personal Loan Receivable	Rs. 987. 8 Mn
People's Bank - Securitization loan 18	Rs.300 Mn	Working capital requirements	24 monthly instalments	Lease and Hire Purchase Agreements	Rs. 353 Mn
People's Bank - Securitization loan 19	Rs.500 Mn	Working capital requirements	30 monthly instalments	Gold Loan Receivable Agreements	Rs.654.5 Mn
NSB Bank - Securitization loan 20	Rs.399.6 Mn	Working capital requirements	24 monthly instalments	Hire purchase & Finance lease Agreements	Rs. 626.1 Mn
NSB Bank - Securitization loan 21	Rs.299.6 Mn	Working capital requirements	15 monthly instalments	Hire purchase & Finance lease Agreements	Rs. 454 Mn
HNB - Securitization loan 22	Rs.600 Mn	Working capital requirements	36 monthly instalments	Hire purchase & Finance lease Agreements	Rs. 1,033 Mn
HNB - Securitization loan 23	Rs.400 Mn	Working capital requirements	18 monthly instalments	Gold Loan Receivable Agreements	Rs. 605 Mn
Sampath Bank PLC 01	Rs.200 Mn	Working capital requirements	48 monthly instalments	Loan agreement for Rs.200 Mn.	N/A
DFCC Vardhana Bank 01	Rs.200 Mn	Working capital requirements	48 monthly instalments	Promissory note	Rs.200 Mn
DFCC Vardhana Bank 02	Rs.200 Mn	Working capital requirements	48 monthly instalments	Promissory note	Rs.200 Mn
Central Finance loan 01	Rs.100 Mn	Working capital requirements	24 monthly instalments	Lease receivables and promissory note	Lease - Rs. 130 Mn and Promissory note - Rs. 100 Mn
Sampath Bank PLC 02	Rs.550 Mn	Working capital requirements	36 monthly instalments	Loan agreement for Rs.550 Mn.	N/A
Hatton National Bank PLC 01	Rs.200 Mn	Working capital requirements	36 monthly instalments	Mortgage bond over loan recoverable consisting of business loan, corporate loan and mortgage loans	Rs.200 Mn
DFCC Vardhana Bank 03	Rs.250 Mn	Working capital requirements	48 monthly instalments	Promissory note	Rs.250 Mn
DFCC Vardhana Bank 04	Rs.150 Mn	Working capital requirements	3 monthly instalments	Promissory note	Rs.150 Mn
Sampath Bank Loan 03	Rs.200 Mn	Working capital requirements	3 monthly instalments	Loan agreement for Rs.200 Mn.	Rs.200 Mn
HNB Bank Loan 02	Rs.300 Mn	Working capital requirements	30 monthly instalments	Mortgage bond over corporate loans & micro finance loan	Rs.300 Mn
Nations Trust Bank 01	Rs.200 Mn	Working capital requirements	36 monthly instalments	Mortgage bond over corporate loans & micro finance loan portfolio	Rs.200 Mn
Nation Trust Bank Loan 02	Rs.200 Mn	Working capital requirements	36 monthly instalments	Mortgage bond over loan recoverable consisting of business loan, corporate loan and mortgage loans	Rs.200 Mn

	31.03.2019 Rs.	31.03.2018 Rs.
28. DUE TO CUSTOMERS		
Fixed deposits	6,617,344,955	6,356,067,246
	<u>6,617,344,955</u>	<u>6,356,067,246</u>
29. RETIREMENT BENEFIT OBLIGATION		
Retirement benefit obligations - gratuity		
Balance at the beginning of the year	20,044,993	18,774,955
Amount charged for the year	5,992,249	2,200,038
Payments made during the year	(3,948,750)	(930,000)
Balance at the end of the year	<u>22,088,492</u>	<u>20,044,993</u>
29.1 Amount recognized in the statement of profit or loss		
Current service cost for the year	3,268,464	3,314,191
Interest cost for the year	2,004,499	2,440,744
	<u>5,272,963</u>	<u>5,754,935</u>
29.2 Amount recognised in other comprehensive income		
Actuarial (gain)/loss for the year	719,285	(3,554,897)
	<u>719,285</u>	<u>(3,554,897)</u>

29.3 Messrs. Actuarial and Management Consultants (Pvt) Ltd, Actuaries, carried out an actuarial valuation of the retirement benefit obligation for Asia Asset Finance PLC as at 31st March, 2019. The valuation method used by the Actuary to value the liability is the 'Projected Unit Credit Actuarial Cost Method' recommended by IAS 19. Appropriate and compatible assumptions were used in determining the cost of retirement benefits. The principal assumptions used are as follows:

Actuarial assumptions	31.03.2019 Rs.	31.03.2018 Rs.
Discount rate	11%	10%
Salary increment rate	6%	6%
Staff turnover	33%	19%
Retirement age	55 years	55 years
Mortality	67/70 Mortality Table (Institute of Actuaries, London)	

29.4 Sensitivity analysis

In order to illustrate the significance of the salary increment rates and discount rates assumed in the valuation, the sensitivity analysis is as follows:

	31.03.2019 Rs.	31.03.2018 Rs.
Discount rate		
Effect on retirement benefit obligation due to 1% increase	21,569,870	19,357,822
Effect on retirement benefit obligation due to 1% decrease	22,635,301	20,788,828
Salary increment rate		
Effect on retirement benefit obligation due to 1% increase	22,605,686	20,768,778
Effect on retirement benefit obligation due to 1% decrease	21,589,925	19,365,625





30. STATED CAPITAL

	31.03.2019		31.03.2018	
	Number	Rs.	Number	Rs.
30.1 Fully paid ordinary shares	109,097,018	1,640,493,541	839,207,833	1,388,935,273
30.1.1 Balance at the beginning of the year	839,207,833	1,388,935,273	839,207,833	1,388,935,273
During the year share consolidation	83,920,783	-	-	-
Share issued during the year	25,176,235	251,558,268	-	-
Balance at the end of the year	109,097,018	1,640,493,541	839,207,833	1,388,935,273

30.2 Rights of shareholders

The holders of ordinary shares confer their rights to receive dividends as declared from time to time and are entitled to one vote per share at the meeting.

All shares rank equally with regard to the company's residual assets.

30.3 Share consolidation

The company has done share consolidation during the year of assessment 2018/2019 and accordingly, every ten (10) existing issued ordinary voting shares be consolidated into one share, consequent to which the issued number of shares reduces from 839,207,833 fully paid shares to 83,920,783 fully paid shares.

	31.03.2019	31.03.2018
	Rs.	Rs.
31. STATUTORY RESERVE FUND AND OTHER RESERVES		
Statutory reserve fund	70,387,374	65,386,917
General reserve	3,000,000	3,000,000
	73,387,374	68,386,917

31.1 Statutory reserve fund

Statutory reserve fund is a capital reserve which contains profits transferred as required by Section 3 (b) (i) of Finance Companies (Capital Funds) Direction No. 1 of 2003.

31.2 General reserve

General Reserve represents the amounts set aside by the directors for general application.

32. EARNINGS PER SHARE

32.1 Basic earnings per share is calculated by dividing the net profit for the period attributable to ordinary shareholders by the weighted average number of ordinary shares outstanding during the period.

32.2 The following reflects the income and share data used in the basic earnings per share computation.

	31.03.2019	Restated 31.03.2018	31.03.2018
	Rs.	Rs.	Rs.
Amounts used as the numerator:			
Net profit attributable to ordinary shareholders for basic earnings per share	100,929,818	178,225,427	178,225,427
Number of ordinary shares used as denominator for basic earnings per share	31.03.2019 Number	31.03.2018 Number	31.03.2018 Number
Weighted average number of ordinary shares in issue	107,445,733	83,920,783	839,207,833
Basic earnings per share	0.94	2.12	0.21

33. CONTINGENT LIABILITIES AND COMMITMENTS

In the normal course of business, the company makes various commitments and incurs contingent liabilities. No material losses are anticipated as a result of these transactions.

		31.03.2019 Rs.	31.03.2018 Rs.
33.1	Commitments		
	Promissory note to DFCC Bank PLC Loans	800,000,000	650,000,000
	Promissory note to Central Finance Loan	-	100,000,000
	Undrawn commitments	1,056,330	5,382,409
	Letter of credit commitments	-	40,000,000
	Capital commitment on software licensing agreement	31,547,500	-
	Asset Backed Securitization to Mpower Capital Limited	1,000,000,000	-
		<u>1,832,603,830</u>	<u>795,382,409</u>

33.1.1 Promissory notes

The related loan balances on issued promissory notes are as follows as at the reporting date.

	Promissory note Value Rs.	Loan outstanding as at 31.03.2019 Rs.
Promissory notes to DFCC Bank PLC	800,000,000	515,624,981
	<u>800,000,000</u>	<u>515,624,981</u>

33.1.2 Undrawn commitments

Undrawn commitments consist of facilities granted to customers where the company reserves the right to unconditionally cancel or recall the facility at its discretion.

33.1.3 Capital commitment on software licensing agreement

	Capital commitment Value Rs.	Outstanding as at 31.03.2019 Rs.
Software Licensing Agreement - E-Financials Software System	31,547,500	15,773,750
	<u>31,547,500</u>	<u>15,773,750</u>

33.2 Contingent liabilities

The company does not have significant contingent liabilities as at the reporting date.

34. ASSETS PLEDGED

The following assets have been pledged as securities for liabilities.

Nature of assets	Nature of liabilities	Carrying amount pledged		Included under
		31.03.2019 Rs.	31.03.2018 Rs.	
Vehicle mortgaged loans and group personal loans	BOC - securitization loan 03	-	48,827,276	Loans and advances
Lease and hire purchase receivable	BOC - securitization loan 07	28,218,033	117,957,287	Lease rentals receivables and hire purchase
Lease and group personal loan receivable	First Capital Trustee Services - securitization loan 08	-	22,272,561	Lease rentals receivable, Loans and advances
Micro receivable backed Loan Structure	HNB - securitization loan 11	-	367,055,956	Loans and advances



34. ASSETS PLEDGED (CONTD.,)

Nature of assets	Nature of liabilities	Carrying amount pledged		Included under
		31.03.2019 Rs.	31.03.2018 Rs.	
Micro finance loan and group personal loan receivable	HNB - securitization loan 12	81,614,478	352,748,257	Loans and advances
Loans and receivables	HNB - securitization loan 13	-	277,769,885	Loans and advances
Micro finance receivables	People's Bank - securitization loan 14	16,131,616	313,020,568	Loans and advances
Group personal loan receivables	First Capital Trustee Services - Securitization loan 15	49,999,000	149,843,123	Loans and advances
Lease and hire purchase loan receivables	People's Bank - Securitization loan 16	252,001,829	255,928,936	Lease rentals receivables and hire purchase
Mortgage bond over loan recoverable consisting of business loan, corporate loan and mortgage loans	Hatton National Bank PLC 01	70,007,155	137,268,348	Loans and advances
Mortgage bond over corporate loans & micro finance loan portfolio	Nations Trust Bank 01	99,650,000	166,550,000	Loans and advances
Micro finance & Group Personal Loan Receivable	HNB - Securitization loan 17	703,378,775	-	Lease rentals receivables and hire purchase
Lease and Hire Purchase Agreements	People's Bank - Securitization loan 18	253,211,278	-	Lease rentals receivables and hire purchase
Gold Loan Receivable Agreements	People's Bank - Securitization loan 19	453,792,839	-	Lease rentals receivables and hire purchase
Hire purchase & Finance lease Agreements	NSB Bank - Securitization loan 20	427,115,767	-	Lease rentals receivables and hire purchase
Hire purchase & Finance lease Agreements	NSB Bank - Securitization loan 21	314,675,723	-	Lease rentals receivables and hire purchase
Hire purchase & Finance lease Agreements	HNB - Securitization loan 22	622,264,150	-	Lease rentals receivables and hire purchase
Gold Loan Receivable Agreements	HNB - Securitization loan 23	405,118,879	-	Lease rentals receivables and hire purchase
Mortgage bond over corporate loans & micro finance loan portfolio	HNB Bank Loan 02	220,000,000	-	Loans and advances
Mortgage bond over corporate loans & micro finance loan portfolio	Nation Trust Bank Loan 02	155,400,000	-	Loans and advances



35. MATURITY ANALYSIS

An analysis of the total assets employed and the total liabilities at the year end, based on the remaining balance at the reporting date to the respective contractual maturity dates is given below:

	Less than 3 months Rs.	3-12 months Rs.	1-3 years Rs.	Over 3 years Rs.	Total Rs.
Cash and cash equivalents	643,777,198	-	-	-	643,777,198
Investment in reverse repurchase agreements against the treasury bills and bonds at amortized cost	338,176,740	353,568,000	-	-	691,744,740
Financial assets - fair value through profit or loss / held for trading	125	-	-	-	125
Financial assets at amortized cost - Loans and advances	2,932,342,535	1,193,561,156	1,491,286,757	1,836,184,015	7,453,374,463
Financial assets at amortized cost - Lease rentals receivable and hire purchase	69,585,398	331,678,348	2,651,065,756	1,050,322,433	4,102,651,935
Vehicle Stock	18,913,569	-	-	-	18,913,569
Other assets	16,511,803	-	-	-	16,511,803
Income Tax Receivable		3,732,303			3,732,303
Deposits and prepayments	4,926,310	121,982,245	20,731,398	7,515,244	155,155,197
Financial assets - Fair value through Other comprehensive income / available for sale	-	-	-	506,659	506,659
Property, plant and equipment	-	-	-	158,680,580	158,680,580
Investment property	-	-	-	393,818,513	393,818,513
Deferred tax asset	-	-	249,583,725	-	249,583,725
Intangible assets	-	-	-	11,043,610	11,043,610
As at 31.03.2019	4,024,233,678	2,004,522,052	4,412,667,636	3,458,071,054	13,899,494,420
As at 31.03.2018	4,862,099,287	2,713,119,814	2,701,992,175	1,450,483,145	11,727,694,421
Liabilities					
Financial Liabilities - Due to banks	131,273,907	-	-	-	131,273,907
Other liabilities	217,163,369	-	-	-	217,163,369
Financial Liabilities - Other borrowed funds	727,665,000	694,921,000	1,647,583,000	1,888,566,615	4,958,735,615
Due to customers	2,076,231,611	2,712,564,868	1,440,700,717	387,847,759	6,617,344,955
Retirement benefit obligation	-	-	-	22,088,492	22,088,492
As at 31.03.2019	3,152,333,887	3,407,485,868	3,088,283,717	2,298,502,866	11,946,606,338
As at 31.03.2018	2,654,707,150	4,607,471,688	2,045,469,621	561,113,691	9,868,762,150
Net amount					
As at 31.03.2019	871,899,791	(1,402,963,816)	1,324,383,919	1,159,568,188	1,952,888,082
As at 31.03.2018	2,207,392,137	(1,894,351,874)	656,522,554	889,369,454	1,858,932,271



36. CURRENT/NON-CURRENT ANALYSIS

	31.03.2019			31.03.2018		
	Within 12 months Rs.	After 12 months Rs.	Total Rs.	Within 12 months Rs.	After 12 months Rs.	Total Rs.
Cash and cash equivalents	643,777,198	-	643,777,198	660,159,119	-	660,159,119
Investment in reverse repurchase agreements against the treasury bills and bonds	691,744,740	-	691,744,740	622,975,267	-	622,975,267
Other financial assets	-	-	-	207,244,747	-	207,244,747
Financial assets - fair value through profit or loss / held for trading	125	-	125	213,734	-	213,734
Financial assets at amortized cost - Loans and advances	4,125,903,691	3,327,470,772	7,453,374,463	4,965,662,168	2,282,237,200	7,247,899,368
Financial assets at amortized cost - Lease rentals receivable and hire purchase	401,263,746	3,701,388,189	4,102,651,935	1,063,049,861	1,217,439,361	2,280,489,222
Vehicle stock	18,913,549	-	18,913,549	262,088	-	262,088
Other assets	16,511,803	-	16,511,803	15,587,389	-	15,587,389
Income Tax Receivable	3,732,303	-	3,732,303	362,927	-	362,927
Advances, deposits and prepayments	126,908,555	28,246,642	155,155,197	39,701,801	28,246,642	67,948,443
Financial assets - Fair value through Other comprehensive income / available for sale	-	506,659	506,659	-	506,659	506,659
Property, plant and equipment	-	158,680,580	158,680,580	-	150,037,783	150,037,783
Investment property	-	393,818,513	393,818,513	-	352,385,530	352,385,530
Deferred tax asset	-	249,583,725	249,583,725	-	112,814,714	112,814,714
Intangible assets	-	11,043,610	11,043,610	-	8,807,431	8,807,431
Total assets	6,028,755,730	7,870,738,690	13,899,494,420	7,575,219,101	4,152,475,320	11,727,694,421
Liabilities						
Financial Liabilities - Due to banks	131,273,907	-	131,273,907	454,920,306	-	454,920,306
Other liabilities	217,163,369	-	217,163,369	36,650,813	-	36,650,813
Financial Liabilities - Other borrowed funds	1,422,586,000	3,536,149,615	4,958,735,615	2,308,737,004	692,341,788	3,001,078,792
Due to customers	4,788,796,479	1,828,548,476	6,617,344,955	4,461,870,715	1,894,196,531	6,356,067,246
Retirement benefit obligation	-	22,088,492	22,088,492	-	20,044,993	20,044,993
Total liabilities	6,559,819,755	5,386,786,583	11,946,606,338	7,262,178,838	2,606,583,312	9,868,762,150
Net balance	(531,064,025)	2,483,952,107	1,952,888,082	313,040,263	1,545,892,008	1,858,932,271



37. ASSETS AND LIABILITIES MEASURED AT FAIR VALUE AND FAIR VALUE HIERARCHY

37.1 Determination of fair value and fair value hierarchy

As at 31st March, 2019, the company held the following assets carried at fair value on the statement of financial position. The company uses the following hierarchy for determining and disclosing the fair value of those assets by valuation technique:

Level 1: Quoted (unadjusted) prices in active markets for identical assets or liabilities

Level 2: Other techniques for which all inputs which have a significant effect on the recorded fair value are observable, either directly or indirectly

Level 3: Techniques which use inputs that have a significant effect on the recorded fair value that are not based on observable market data

37.1.1 Assets measured at fair value

31.03.2019				
	Level 1	Level 2	Level 3	
Rs.	Rs.	Rs.	Rs.	
Financial assets - fair value through profit or loss / held for trading	125	-	-	
Financial assets - Fair value through other comprehensive income	506,659	-	506,659	
Total assets at fair value	506,784	125	506,659	

31.03.2018				
	Level 1	Level 2	Level 3	
Rs.	Rs.	Rs.	Rs.	
Financial assets - fair value through profit or loss / held for trading	213,734	-	-	
Financial assets - Fair value through other comprehensive income	506,659	-	506,659	
Total assets at fair value	720,393	213,734	506,659	



38. FINANCIAL REPORTING BY SEGMENT

	Finance lease		Hire purchase		Gold Loan		Loans and advances		Investment		Other		Total	
	31.03.2019 Rs.	31.03.2018 Rs.	31.03.2019 Rs.	31.03.2018 Rs.	31.03.2019 Rs.	31.03.2018 Rs.	31.03.2019 Rs.	31.03.2018 Rs.	31.03.2019 Rs.	31.03.2018 Rs.	31.03.2019 Rs.	31.03.2018 Rs.	31.03.2019 Rs.	31.03.2018 Rs.
Interest income	892,524,491	407,178,685	4,536,076	10,472,832	479,737,848	286,483,298	1,251,396,330	1,605,906,124	94,075,200	133,348,460	-	-	2,732,660,945	2,443,389,400
Other income	31,955,571	18,428,964	368,919	276,383	5,996,807	35,591,074	50,397,488	65,127,051	38,264	322,530	-	-	97,564,228	129,007,575
Total revenue	924,480,062	425,607,650	4,904,995	10,749,215	485,734,655	322,074,372	1,301,793,818	1,671,033,175	94,114,464	133,670,990	-	-	2,830,225,173	2,572,396,975
Segmental result	51,940,769	47,305,418	275,462	1,194,703	37,278,037	35,585,962	73,108,044	185,335,438	5,385,418	14,855,629	494,607	1,025,826	158,382,336	205,991,076
Value added tax on financial services													64,475,297	62,765,107
Profits from operations													93,857,639	222,139,969
Income tax charge for the year													7,022,779	(45,914,542)
Net profit for the year													100,929,818	178,225,427
Segment assets	4,098,865,738	2,221,631,846	3,786,197	58,807,376	2,702,639,260	1,737,356,525	4,790,735,203	5,490,542,843	691,744,865	830,433,748	-	-	12,267,771,363	10,358,822,338
Unallocated assets													1,651,723,157	1,368,872,083
Total assets	4,098,865,738	2,221,631,846	3,786,197	58,807,376	2,702,639,260	1,737,356,525	4,790,735,203	5,490,542,843	691,744,865	830,433,748	-	-	13,899,494,420	11,727,694,421
Segment liabilities	3,918,008,682	2,104,370,296	3,619,136	55,750,785	2,583,388,860	1,646,277,096	4,541,115,265	5,219,066,003	661,222,533	786,602,064	-	-	11,707,354,476	9,812,066,344
Unallocated liabilities													239,251,862	56,695,806
Total liabilities	3,918,008,682	2,104,370,296	3,619,136	55,750,785	2,583,388,860	1,646,277,096	4,541,115,265	5,219,066,003	661,222,533	786,602,064	-	-	11,946,606,338	9,868,762,150

In determining segment results, expenses have been allocated on proportionate basis on interest income and the segment liabilities have been proportionately allocated based on the segment assets.

39. EVENTS OCCURRING AFTER THE REPORTING DATE

There have been no material events occurring after the reporting date that require adjustments to, or disclosures, in the financial statements.





40. RELATED PARTY DISCLOSURES

The company carries out transactions in the ordinary course of business on an arm's length basis at commercial rates with related parties. Details of significant related party disclosures are as follows:

40.1 Parent and ultimate controlling party

The ultimate parent of the company as at 31st March, 2019 is Muthoot Finance Limited.

40.2 Transactions with related entities

40.2.1 Muthoot Finance Limited

Relationship - Ultimate parent

Transactions during the year

Expenses incurred for Muthoot Finance Limited

31.03.2019	31.03.2018
Rs.	Rs.
1,277,674	604,952

40.3 Transactions with key management personnel of the company

The key managerial personnel of the company are the members of its board of directors and the parent company. Following transactions were entered between the company and its key management personnel and their close family members.

	31.03.2019	31.03.2018
	Rs.	Rs.
40.3.1 Key management personnel compensation		
Short-term employment benefits paid	16,087,000	23,521,786
40.3.2 Other transactions with key management personnel		
Fixed deposits held	75,340,543	83,523,013
Uplift of fixed deposits	14,093,613	3,000,000
Interest expenses	6,141,619	7,383,926
40.3.3 Share transactions with key management personnel		
Number of ordinary shares held at the year end	1,400,000	1,400,000

41. RISK MANAGEMENT

As a financial institution, the company is exposed to various types of risks including credit, market, liquidity and operational risks which are inherent in the company's activities. Managing these risks is critical for the sustainability of the company and plays a pivotal role in all activities of the company. The company has developed a culture within the organization, which shapes and influences the risk decisions taken by the management and the employees. The adequacy and the effectiveness of the risk management decisions taken by the company's management will be reviewed regularly through its committees and reported to the "integrated risk management committee" for reference and guidance. The company believes successful risk management will enable it to be resilient to any unfavourable event caused by internal or external factors.

41.1 Risk management committees

41.1.1 Assets and liability committee (ALCO)

ALCO is chaired by the chief executive officer and its representatives are, the chief operating officer, general manager, the assistant general manager-finance, the senior manager-treasury and the assistant manager - analyst. The committee meeting is held once a month to monitor and manage the assets and liabilities of the company and also overall liquidity position to keep the company's liquidity at healthy levels whilst satisfying regulatory requirements.

41. RISK MANAGEMENT (CONTD....)

41.1 Risk management committees (contd....)

41.1.2 Integrated risk management committee (IRM)

The IRM committee, which has the responsibility to monitor the overall risk process within the company. The IRM committee has the overall responsibility for the development of the risk strategy and implementing principles, frameworks, policies and limits. The IRM committee is responsible for managing risk decisions and monitoring risk levels and reports on periodical basis to the board.

41.2 Credit risk

Credit risk is the likelihood that a borrower or counterparty will not honor its obligations in accordance with the terms of agreement, i.e. the risk of default which is one of the most vulnerable risks faced by any financial institution. Credit risk is inherent to all financial institutions where the main business is lending. The main aim of the "credit risk management" is to minimize the risk and to maximize the risk adjusted rate of return of the financial institution.

41.2.1 Company's approach to credit risk

The company caters to mainly the small and medium corporate sector and to the retail sector. Therefore, the company has adopted a process where the credit evaluation is not restricted to its finances but also on qualitative factors, giving the company an opportunity to evaluate customer's operations, product feasibility, management structure etc.

In order to mitigate the risk of exposing into high risk sectors, the company has imposed sector restrictions and exposure ceilings. Effective management of portfolio ensures that the company avoids the risk of concentration of exposures. Further, the company is continuously conducting environment analysis and periodic reviews to monitor credit exposures, portfolio performance and to identify emerging credit risks.

The recoveries department consistently monitors portfolio delinquency and the collections. A monthly report is submitted to the chief executive officer on the performance of individual marketers.

The credit policy of the company recommends an innovative approach in evaluating a borrower without hindering the credit quality. The company has introduced exposure ceilings, delegated authority levels for credit approval, internal risk rating model and risk based pricing through the credit policy.

41.2.2 Analysis of credit quality - Maximum exposure to credit risk by class of financial assets

As at 31st March 2019

	Carrying amount Rs.	Not subject to ECL Rs.	12-month ECL (Stage 1) Rs.	Subject to	
				Life time ECL - not credit impaired (Stage 2) Rs.	Life time ECL - credit impaired (Stage 3) Rs.
Cash and cash equivalents	643,777,198	643,777,198	-	-	-
Investment in reverse repurchase agreements against the treasury bills and bonds at amortized cost	691,744,740	691,744,740	-	-	-
Financial assets - fair value through profit and loss	125	125	-	-	-
	1,335,522,063	1,335,522,063	-	-	-
Loans and advances at amortized cost					
Gross loans and advances	8,293,241,005	-	6,128,718,981	313,400,161	1,851,121,863
Less : Impairment charge	839,866,542	-	179,587,839	32,390,823	627,887,880
Net carrying amount	7,453,374,463	-	5,949,131,142	281,009,338	1,223,233,983
Lease rentals receivable and hire purchase at amortized cost					
Gross lease rentals receivable and hire purchase	4,275,258,850	-	3,542,416,480	300,427,914	432,414,456
Less : Impairment charge	172,606,915	-	87,045,635	11,147,399	74,413,881
	4,102,651,935	-	3,455,370,845	289,280,515	358,000,575
Financial assets - Fair value through Other comprehensive income					
Gross carrying amount	7,006,659	7,006,659	-	-	-
Less : Impairment charge	6,500,000	6,500,000	-	-	-
Total	506,659	506,659	-	-	-



41. RISK MANAGEMENT (CONTD....)

41.2.2 Analysis of credit quality - Maximum exposure to credit risk by class of financial assets (contd....)

As at 31st March 2018

	Neither past due nor impaired Rs.	Past due but not impaired Rs.	Individually impaired Rs.	Total Rs.
Cash and cash equivalents	660,159,119	-	-	660,159,119
Investment in reverse repurchase agreements against treasury bills and bonds	622,975,267	-	-	622,975,267
Financial assets - fair value through profit and loss	213,734	-	-	213,734
	<u>1,283,348,120</u>	<u>-</u>	<u>-</u>	<u>1,283,348,120</u>
Loans and advances				
Gross loans and advances	3,357,579,422	4,124,194,173	240,929,232	7,722,702,826
Less : Impairment charge	(19,948,349)	(315,699,028)	(139,156,081)	(474,803,458)
	<u>3,337,631,073</u>	<u>3,808,495,145</u>	<u>101,773,151</u>	<u>7,247,899,368</u>
Lease rentals receivable and hire purchase				
Gross lease rentals receivable and hire purchase	1,210,332,155	1,171,857,381	-	2,382,189,537
Less : Impairment charge	(11,964,901)	(89,735,714)	-	(101,700,315)
	<u>1,198,367,254</u>	<u>1,082,121,667</u>	<u>-</u>	<u>2,280,488,922</u>
Financial assets - available for sale				
Financial assets - available for sale	506,659	-	-	506,659
Less : Impairment charge	-	-	-	-
	<u>506,659</u>	<u>-</u>	<u>-</u>	<u>506,659</u>

Note : Neither past due nor impaired lease rental receivables, hire purchase and loans include any facility that is not in arrears as at the reporting date and assessed for impairment on a collective basis. Past due but not impaired lease rental receivable, hire purchase and loans include any facility that is in arrears for more than one day and assessed for impairment on a collective basis.

41.2.3 Impairment assessment

Details of the company's impairment method are disclosed in Note 3.1.11.

41.2.4 Concentration of credit risk

The company's concentration of risk in relation to the lending portfolio is managed by the industry sector which is detailed below:

	31.03.2019 Rs.	31.03.2018 Rs.
Textile and wearing apparel	-	28,371,187
Manufacturing	677,748,000	631,569,305
Metals, chemicals and engineering	-	4,027,810
Transport	161,707,000	160,175,659
Services	934,474,000	1,155,463,234
Agro-business and fisheries	274,136,000	220,570,233
Construction	110,011,000	226,573,322
Commercial trading	1,423,002,000	688,255,646
Others	8,987,421,855	6,989,885,967
Total lending portfolio	<u>12,568,499,855</u>	<u>10,104,892,363</u>
Loans and advances	8,293,241,005	7,722,702,826
Lease	4,241,830,201	2,290,742,742
Hire purchase	33,428,649	91,446,795
Total receivables	<u>12,568,499,855</u>	<u>10,104,892,363</u>



41. RISK MANAGEMENT (Contd..)

41.3 Market risk

Market risk is identified by the company as the possibility of loss to the company caused by changes in the market variables. Market risk mainly includes interest rate risk, liquidity risk, foreign exchange risk and country risk.

41.3.1 Interest rate risk

Interest rate risk is the potential negative impact on the net interest income based on rate fluctuations and impact to the profitability of the company. The company does not have variable interest rates and all facilities granted are on fixed interest rates.

When all borrowings and lending are done on fixed rates the net interest margin is affected due to the following reasons,

Maturity mismatch/GAP

One of the major concerns in financial business is the maturity mismatch, where the average loan period is over 2 years whilst the average deposit period is less than one year. Hence, where the interests are on an increasing trend the company's net interest margin will reduce.

Please refer note 35 to the financial statements for the maturity analysis.

Re-Investment risk

These are uncertainties with regard to interest rate at which the future cash flows could be re-invested. On an increasing trend, this would be beneficial for Asia Asset Finance PLC.

Net interest position

When the market rates are on a downward trend and the company earning assets are higher than its liabilities, the risk of net interest position falling is high.

Liquidity risk

Liquidity is the ability to efficiently accommodate deposit as also reduction in liabilities and to fund the loan growth and possible funding of the off-balance sheet claims liquidity risk arises through maturity mismatch of loans and deposits.

Foreign exchange (FOREX) and country risk

FOREX is the risk that finance companies may suffer loss as a result of adverse exchange rate movements. Country risk is the risk that arises due to cross border transactions. Asia Asset Finance PLC does not have any foreign borrowings or foreign transactions overseas except for Oracle financials licensing fee, which does not consist a substantial impact on the company to conduct in-depth analysis. However, there is a slight impact when budgeting for this cost. The above risks are triggered by the treasury operations.

42. COMPARATIVE INFORMATION

Comparative figures have been re-classified where necessary in line with presentation requirements for the current year.

